NEW YORK STATE PUBLIC SERVICE COMMISSION

CASE 19-G-0309

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY FOR GAS SERVICE

CASE 19-G-0310

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID FOR GAS SERVICE

CASE 18-M-0270

PETITION FOR APPROVAL PURSUANT TO PUBLIC SERVICE LAW SECTION 113(2), OF A PROPOSED ALLOCATION OF CERTAIN TAX REFUNDS BETWEEN KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID AND RATEPAYERS

STATEMENT OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID IN SUPPORT OF JOINT PROPOSAL

Dated: June 2, 2021

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Case 19-G-0309
Case 19-G-0310

NEW YORK STATE
PUBLIC SERVICE COMMISSION

Case 19-G-0309 - Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of The Brooklyn Union Gas Company d/b/a National Grid NY For Gas Service

Case 19-G-0310 - Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of KeySpan Gas East Corporation d/b/a National Grid For Gas Service

Case 18-M-0270 - Petition For Approval Pursuant To Public Service Law Section 113(2), Of A Proposed Allocation Of Certain Tax Refunds Between KeySpan Gas East Corporation d/b/a National Grid And Ratepayers

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STATEMENT OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID IN SUPPORT OF JOINT PROPOSAL

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (KEDNY and KEDLI collectively referred to as the "Companies") hereby submit this Statement in Support of the Joint Proposal dated May 14, 2021 ("JP") in the above captioned proceedings. The JP is the product of more than *two years* of rate case proceedings and negotiations, and the parties supporting the JP represent a broad range of customer, environmental, and energy policy interests. The JP provides funding to KEDNY and KEDLI to operate their gas distribution systems safely and reliably over the three-year term of the rate plans. However, the settlement package outlined in the JP is far from business as usual. The JP

describes unprecedented steps to advance the State of New York's clean energy goals and policies – while at the same time ensuring continued rate stability for the Companies' customers at a time when affordability is the priority. These outcomes are only possible through a multi-year settlement that reflects the input of numerous parties. While the JP does not address all issues to the full satisfaction of all stakeholders, this comprehensive settlement is an undeniably positive and necessary step toward ensuring continued access to safe, reliable, and affordable energy for the nearly two million customers in downstate New York who rely on the Companies to heat their homes and power their businesses. For these reasons, the JP should be found to be in the public interest and adopted by the Commission in its entirety.

I. Introduction and Overview

The JP sets forth a three-year rate plan for each of the Companies commencing April 1, 2020, and continuing through March 31, 2023.[1] The JP also provides certain provisions that will apply during a Stayout Period[2] if the Companies do not file revised base rates to be effective April 1, 2023. While the JP establishes a rate plan for the period beginning April 1, 2020, the Companies anticipate an August 1, 2021 effective date of new rates.[3]

The proposal is supported or not opposed by a significant number of parties with diverse interests. Supporting parties include the Companies, the New York State

[1] For the purposes of the JP, Rate Year One, Rate Year Two, and Rate Year Three are the twelve months ending March 31, 2021, March 31, 2022, and March 31, 2023, respectively.
[2] The Stayout Period is the period beginning April 1, 2023, and ending on the earlier of the effective date of new base rates for each of the Companies or March 31, 2024.
[3] The JP proposes a "make whole" provision that is designed to ensure that the Companies are restored to the same financial position they would have been in had rates gone into effect April 1, 2020. *See* Section IV.2.3 of the JP.

Department of Public Service ("DPS") Staff ("Staff"), the Environmental Defense Fund ("EDF"), Estates NY Real Estate Services LLC ("Estates"), NY-GEO, the Long Island Power Authority ("LIPA"), and Bob Wyman (collectively, the "Signatory Parties"). Non-opposing parties include the Utility Intervention Unit of the New York Department of State's Division of Consumer Protection ("UIU"), the Public Utility Law Project ("PULP") and Family Energy. This broad base of support for/non-opposition to the JP among these frequently adverse parties provides strong support for the adoption of the JP by the Commission.

The JP is the product of lengthy and extensive settlement discussions.[4] Since the case was filed in April 2019, New York has experienced significant policy, regulatory, and public health developments, notably: (i) New York's adoption of the Climate Leadership and Community Protection Act of 2019 ("CLCPA"), the most progressive decarbonization legislation in the United States, (ii) the New York State Public Service Commission (the "Commission") establishing aggressive energy efficiency targets for New York's utilities,[5] (iii) the resolution of issues arising from the Companies' imposition of restrictions on new gas connections and the subsequent efforts to identify long-term solutions to meeting customer demand, and (iv) the devastating impacts of the coronavirus (COVID-19) pandemic. The protracted negotiations allowed ample opportunity to consider the positions of numerous parties, whose views have shaped the outcome on a range of important issues,

[4] By notice dated September 10, 2019, the Companies notified all parties of the commencement of settlement negotiations. Settlement conferences were held on multiple dates in 2020 and 2021. These conferences in all instances complied with the Commission's Settlement Guidelines and regulations.

[5] Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative, *Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025* (January 16, 2020) ("NE:NY Order").

while ultimately enabling the Signatory Parties to address these important developments comprehensively in the JP.

First, the JP enables the Companies to deliver on their core mission to provide safe and reliable gas service to customers at just and reasonable rates – at a time when access to reliable and affordable energy is more important than ever. Recognizing the imperative to advance public policy, however, the JP also establishes an unprecedented set of commitments concerning the Companies' natural gas distribution businesses that (i) support the clean energy and environmental goals set forth in the CLCPA and New York City Local Law 97, including commitments related to energy efficiency, demand response, increased electrification, and non-pipe alternatives ("NPAs"), (ii) moderate rate impacts in light of COVID-19, (iii) provide for needed infrastructure improvements that will enhance safety, reliability, and resiliency of the Companies' distribution systems, while reducing methane emissions, (iv) implement enhanced safety, customer service, and low-income programs, and (v) implement Earnings Adjustment Mechanisms ("EAMs") that will encourage the Companies to support vigorously the Commission's policy initiatives. These commitments clearly demonstrate that the JP is in the public interest.

Prioritizing Affordability and Mitigating Customer Bill Impacts. Over the term of the rate plans, and especially in 2020, no event or issue will impact the lives of customers more than COVID-19. As the providers of essential energy service, the Companies are very aware of the health and financial impacts that COVID-19 had (and is having) on customers in downstate New York. In recognition of these impacts, the Companies and other parties went to great lengths to mitigate costs and prioritize affordability in the

proposed rate plans.[6] The result is a settlement that provides for no revenue increases in Rate Year One (compared to the more than $285 million revenue increase initially requested) with moderate revenue increases of no more than two percent in Rate Years Two and Three.[7]

To achieve the level of cost mitigation reflected in the JP, the Companies made difficult choices to remove discretionary spending and non-essential programs and defer investments without compromising safety and reliability – this includes removing more than $1.5 billion of capital investments over a three-year period. The JP provides no funding for wage increases for senior managers through June 2022 and through June 2023 for senior executives.[8] The JP also leverages various rate mechanisms, which can only be implemented through a multi-year settlement, to smooth increases and mitigate annual bill impacts. For example, the JP applies approximately $100 million of credits to offset costs over the three-year period.[9]

Even before the pandemic highlighted the need to maintain affordability, the Companies' initial rate filing included various measures to reduce costs and promote rate stability – and these efforts are now fully reflected in revenue requirements underlying the

[6] COVID-19 has also affected the Companies' operations, as the Companies have suspended non-essential work activities out of concern for public and employee safety. The Companies have also temporarily suspended collections-related activities, including service disconnections, to lessen the financial hardship caused by the COVID-19 pandemic. These policies will remain in effect at least for the next several months – but New York State and its residents will emerge from this difficult situation and the Companies must be positioned to support our customers' energy needs.
[7] For typical residential heating customers, these proposed increases would result in total monthly bill increases of approximately $0 (0 percent) in Rate Year One, $5.56 (3.77 percent) in Rate Year Two and $4.89 (3.26 percent) in Rate Year Three for KEDNY customers and $0 (0 percent) in Rate Year One, $5.35 (3.71 percent) in Rate Year Two and $5.45 (3.73 percent) in Rate Year Three for KEDLI customers.
[8] JP Section IV.2.1(e).
[9] JP Section IV.2.2.

JP. For example, National Grid undertook an ambitious efficiency challenge aimed at reducing costs for customers that resulted in over $50 million in cost savings for the benefit of customers.[10] The Companies also agreed to downward tracking mechanisms on the costs associated with material items, such as investments in utility plant and information technology, ensuring that customers will not be harmed if the Companies underspend their capital programs.[11]

The JP also includes various measures to protect financially vulnerable customers, which has never been more important given the economic challenges now facing the region. These benefits include (i) allowing residential customers to negotiate electronic deferred payment agreements over the phone, (ii) additional resources to support the continued implementation of the Companies' Energy Affordability Programs ("EAP"), (iii) increasing the frequency of file matching with the New York City Human Resources Administration to ensure eligible customers receive EAP discounts, (iv) supporting additional file matching with social services agencies in KEDLI's service territory, (v) waiving reconnect fees for all EAP customers, (vi) working with Staff and other interested parties to assess the Companies' language availability programs, and (vii) developing new training materials for the Companies' Consumer Advocates, including a checklist for targeting assistance at customers impacted by COVID-19.[12]

Advancing New York's Energy Policy. While COVID-19 has created near-term economic challenges, the pandemic has not minimized the need to advance energy policies. Therefore, the JP includes comprehensive, measured proposals that will enable the critical

[10] Tr. 2014, Tr. 2264-65.
[11] JP Sections IV.6.4 and IV.8.1.12.
[12] JP Section IV.11.8.

investments necessary to support the Commission and the State's clean energy goals. These include: (i) more than $118 million of funding for energy efficiency and demand response programs; (ii) completing the Newtown Creek renewable gas natural project; (iii) a study to consider the actions necessary to introduce cleaner hydrogen into the system; and (iv) opportunities to deploy geothermal projects as non-pipes alternatives. These programs are modest but important steps in advancing the transition to New York's energy future.

At the same time, recognizing the level of stakeholder interest in future infrastructure projects, the Companies are committing to (i) limit gas expansion and promote alternative heating options in their service territories and (ii) develop long-term approaches to meeting decarbonization and other climate goals while supporting customers' energy needs. Significantly, the Companies have committed to utilizing the tools at their disposal – energy efficiency and weatherization, demand response, non-pipes alternatives, and outreach and education on electrification and other alternative heating options – to reduce the amount of gas consumed by current and future customers. The Companies have also committed to develop (i) studies and reports that address the impact of CLCPA and other climate policies on the Companies' business ("CLCPA Study");[13] (ii) a study on the potential impacts that climate change policies and laws could have on depreciation rates;[14] and (iii) a report regarding the cost of main and service lines provided to new customers pursuant the Commission's regulations and Companies' tariffs and how all or a portion of those costs could be used to provide applicants with an incentive to select

[13] JP Section IV.7.5.3.
[14] JP Section IV.7.5.4.

electric thermal options (*e.g.*, heat pumps).[15] The CLCPA Study will evaluate "how the Companies' businesses may evolve in the future to support the emission reduction and renewable energy goals of the CLCPA, New York City's Local Law 97, and any emission reduction goals the Companies have independently adopted." Among other components, the study will provide an "analysis of the scale, timing, costs, and customer bill impacts of achieving significant, quantifiable reductions in carbon emissions from the use of gas delivered by the Companies in their service territories."[16] This report will help inform the debate on the future of natural gas by analyzing various scenarios for achieving decarbonization goals and the role of natural gas in meeting those goals.

Reduced Methane Emissions. Reducing methane emissions from the gas network is a priority for enhancing safety and supporting climate goals. To that end, the Companies will replace more than 650 miles of leak prone pipe ("LPP") over the period covered by the JP. While the LPP program presents the best opportunity to eliminate leaks and reduce methane emissions over the term of the rate plans, the Companies are committing to develop less capital-intensive means of reducing emissions in the coming years. For example, the Companies will implement an Enhanced High Emitter Methane Detection Program that will target leaks of ten standard cubic feet per hour or greater for repair or replacement.[17] The Companies will hire an advanced leak detection contractor to aid in prioritizing larger leaks for repair and begin advanced leak surveying within twelve months of the issuance of an order adopting the JP. The Companies will also collaborate with EDF

[15] JP Section IV.7.5.7.
[16] JP Section IV.7.5.3.
[17] JP Section IV.5.17.

to deploy advanced leak detection technology[18] and consider methane flow rate data as a factor in prioritizing LPP for removal.[19]

The Companies' performance in reducing system leaks will be subject to both negative and positive incentives. The Companies will incur negative revenue adjustments ("NRA") for failure to meet LPP removal targets[20] and year end leak backlog targets.[21] The Companies are also afforded a positive revenue adjustment ("PRA") incentive for significantly exceeding total leak repair targets[22] and are committed to collaborating with EDF before filing their next rate cases to modify the existing leak metrics to incentivize the Companies to identify all reasonably discoverable leaks using available technologies.[23]

Advancing Downstate Supply Solutions. The JP includes a framework for advancing the infrastructure and non-infrastructure solutions the Companies have identified to address long-term demand in downstate New York. In Case 19-G-0678, the Commission approved a settlement agreement wherein the Companies agreed to develop potential solutions for addressing a gap between the Companies' supply of natural gas and the forecast of firm demands of customers. The Companies' portfolio of solutions includes opportunities to significantly increase the utilization of demand response, energy efficiency, and other non-infrastructure programs to meet peak demand.

The Companies have also identified certain Long-Term Capital Capacity Projects to address the supply/demand gap and are considering developing other projects. These on-system projects, which leverage existing infrastructure in constrained areas of the

[18] JP Section IV.5.18.
[19] JP Section IV.5.16.
[20] JP Section IV.10.1.
[21] JP Section IV.10.2.
[22] *Id*.
[23] JP Section IV.10.2.2.

service territories, are set forth in Section IV.5.3 of the JP. The JP provides for a third-party assessment of the need for the projects by an independent consultant to be selected by, and to work at the direction of, Staff. The independent consultant will consider the Companies' updated forecasts of gas demand, project cost, reliability, alternative options, greenhouse gas ("GHG") emissions and feedback from the public. The Companies will not be permitted to recover the costs of any Long-Term Capital Capacity Project to the extent the independent consultant determines that such project is not needed at the time proposed by the Companies. Additionally, the ability to recover the costs of the approved Long-Term Capital Capacity Projects will be subject to the Companies achieving metric targets for non-infrastructure solutions including energy efficiency, demand response, non-pipes/third party solutions, electrification, and LPP/non-pipe alternative targets.[24] Thus, rather than authorizing a level of capital spending for the Long-Term Capital Capacity Projects in a manner similar to past rate cases, the JP provides for the implementation of an unprecedented and extraordinary rate mechanism that ties the Companies' ability to recover the costs of the identified Long-Term Capital Capacity Projects to both an additional independent review of those projects and the Companies' success in achieving aggressive targets for deploying non-infrastructure solutions.

The JP also reflects the feedback of the parties and other commentators regarding large infrastructure projects, and specifically the final phase of the KEDNY's Metropolitan Reliability Infrastructure ("MRI") project. In response to stakeholder feedback, KEDNY

[24] JP Section IV.5.3.2.

voluntarily suspended construction of Phase 5 in 2020, and the settlement provides that KEDNY will not resume work unless and until the Commission approves the project.[25]

Balancing Stakeholder Interests

While the Companies appreciate the JP does not fully satisfy the positions of all stakeholders on every issue, the Signatory Parties have undertaken to produce a settlement that reflects significant compromise and addresses the parties' feedback and interests to the greatest extent possible. Consider the following:

- **For the stakeholders that think the Companies should be doing more to encourage the transition to clean energy,** the JP provides that the Companies will manage their business with the goal of reducing billed gas usage, not engage in gas marketing activities, terminate any gas conversion and other incentive programs, and work with various partners (*e.g.*, electric utilities and trade organizations) to promote the adoption of geothermal and other alternate energy options.
- **For stakeholders questioning the need for on-system infrastructure projects to expand capacity,** the JP provides the Companies will submit certain future capacity investments to an independent review and needs assessment. The assessment will also include a public process that will provide ample opportunity for stakeholder input and comments. Moreover, the Companies have agreed to condition recovery of these projects on their ability to deliver various non-infrastructure solutions, including energy efficiency, demand response, and electrification targets. The Companies are also

[25] JP Section IV.5.3.1. Any petition seeking future recovery of additional costs of Phase 5 must be supported by justification as to why the project is needed and must include a report from the independent consultant.

agreeing to remove future costs for MRI Phase 5 from the case and not commence additional work unless approved by the Commission in a separate filing.

- **For those challenging how the gas business will support the CLCPA going forward,** the Companies are committing to develop studies, in consultation with stakeholders, that consider the long-term role of natural gas in achieving meaningful carbon reductions, the impact of climate policies on depreciation rates, and how the rate allowance for new gas connections may be repurposed to support non-gas heating options in the future.
- **Importantly, for those concerned with bill impacts in the current economic environment,** the Companies have addressed affordability by reducing requested revenue increases by more than $280 million in Rate Year One alone, deferring or cutting more than a billion dollars of capital projects over the term of the rate plans, eliminating discretionary programs, and shaping rates with approximately $100 million of credits. The result is a 0 percent increase in Rate Year One with moderate revenue increases of no more than two percent in Rate Years Two and Three.

In complicated proceedings such as these, a settlement will necessarily involve a series of compromises with no one party achieving everything they originally proposed. The Companies respectfully request that the Commission, in evaluating the JP, should afford great weight to the compromises that have been reached among multiple parties with "diverse, and often adverse interests." The diversity of interests represented by the parties supporting the JP, by itself, provides a compelling case for the Commission to reject the claims of the opponents.

Indeed, the JP presents a comprehensive, multi-year settlement that will mitigate customer bills, maintain the safety of the gas network, advance CLCPA policy goals, and support economic development and energy affordability programs. Because virtually none of these outcomes could be achieved through a litigated proceeding, opposition to the JP, although well-intentioned, is effectively advocating that the Companies maintain business as usual for the foreseeable future. Two years' worth of work to develop these rate settlements will be for naught. As customers deserve progress on these important issues, the settlement described in the JP is the best possible outcome and unquestionably in the public interest.

II. The Standard of Review

The JP is the result of lengthy, complex, and difficult negotiations among normally adversarial parties. The negotiations fully complied with the Commission's settlement rules[26] and provided all parties the opportunity to participate. In evaluating the JP, the Commission has consistently applied the following standards set forth in Settlement Guidelines.[27]

- A desirable settlement should strive for a balance among (a) protection of the customers; (b) fairness to investors; and (c) the long-term viability of the utility. Additionally, a settlement should be consistent with sound environmental, social and economic policies of the Agency and the State and should produce results that were within the range of reasonable results that would likely have arisen from a Commission decision in a litigated proceeding.

- In judging the settlement, the Commission shall give weight to the fact that a settlement reflects agreement by normally adversarial parties.[28]

[26] 16 NYCRR §3.9(a).
[27] 32 NYPSC 71, Case 90-M-0255 *et al*., Proceeding on Motion of the Commission Concerning its Procedures for Settlement and Stipulation Agreements, filed in C11175, *Opinion, Order and Resolution Adopting Settlement Procedures and Guidelines*, Opinion No. 92-2 (Mar. 24, 1992) ("Settlement Guidelines").
[28] Settlement Guidelines, Appendix B at 8.

The Order adopting the Settlement Guidelines enumerates the following factors to be considered in the "substantive review" of a proposed agreement:[29]

- The settlement's consistency with law and the regulatory, economic, social and environmental policies of the Commission and the State;
- Whether the agreement compares favorably with the likely result of full litigation and is within the range of reasonable outcomes;
- Whether the settlement strikes a fair balance among interests of customers, investors and the long-term soundness of the utility;
- The existence of a rational basis for decision;
- The completeness of the record; and
- Whether the settlement is contested.

The first four of the foregoing factors, according to the Commission, are elements of the public interest standard, while the last two "simply guide [the Commission] in [its] assessment."[30]

As stated above, the JP is supported or not opposed by a significant number of parties who often have competing interests. These parties include Staff, commercial and residential customer representatives, environmental advocates, and geothermal developers. That such a diverse group either supports or does not oppose the JP provides persuasive evidence that it is not only reasonable, but also well within the range of reasonable litigated outcomes for these proceedings. In terms of balancing the interests of customers, the JP reflects significant compromises of divergent points of view, including adjustments that reflect concerns raised by both parties that do not object as well as those who may oppose the settlement. The parties to these proceedings that chose to participate fully in the

[29] Settlement Guidelines at 30.
[30] *Id*.

settlement process made unprecedented efforts to explore potential compromises thoroughly over a lengthy period of negotiations. The Companies appreciate the professionalism and patience of all parties that participated in the settlement process. There is no doubt that the JP reflects a reasonable compromise among the Signatory Parties that fairly balances the interests of all parties.

III. Elements of the Joint Proposal

A. KEDNY and KEDLI Rate Plans

1. Term

The JP proposes three-year rate plans for the Companies beginning April 1, 2020, and continuing through March 31, 2023.[31] The JP also contains terms that apply in a Stayout Period in the event the Companies do not file to establish new base rates beginning April 1, 2023.[32] The Stayout Period would begin on April 1, 2023, and end on the earlier of the effective date of revised base rates for KEDNY and KEDLI or March 31, 2024.[33]

Three-year rate plans are common terms in multi-year rate settlements.[34] Three-year rate plans benefit both the Companies and their customers by providing delivery rate certainty that in turn provides the Companies with a greater ability to plan and greater

[31] JP Section IV.1.
[32] Those terms are set forth in JP Section IV.12.2 and discussed more fully *infra*.
[33] JP Section III.5.
[34] Case 19-E-0065 *et al.*, Consolidated Edison Company of New York, Inc., *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan* (January 16, 2020) ("2020 Con Edison Rate Case Order"); Case 17-E-0238 *et al.*, Niagara Mohawk Power Corporation d/b/a National Grid, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans* (March 15, 2018) ("2018 Niagara Mohawk Rate Order"); Case 19-E-0378 *et al.*, New York State Electric and Gas Corporation and Rochester Gas and Electric Corporation, *Order Approving Electric And Gas Rate Plans In Accord With Joint Proposal, With Modifications* (November 19, 2020) ("2020 NYSEG/RGE Rate Order"). Case 18-E-0067, Orange and Rockland Utilities, Inc., *Order Adopting Terms of Joint Proposal And Establishing Electric And Gas Rate Plans* (March 14, 2019) ("2019 O&R Rate Order").

financial stability than would be provided in a one-year litigated case. The three-year term also provides the Companies and their investors and customers with assurance that the Companies will have sufficient resources to enable them to continue to provide safe, adequate, and reliable service over the term of the plans.

In addition, in this case the three-year rate plans, coupled with the Stayout Period, will permit the Companies to focus their time on the operation of their systems and the fulfillment of the commitments set forth in the JP as described more fully below, rather than on the rate case process. Due to the complexity of the issues addressed in the JP and the changing circumstances faced by the Companies during the period in which the negotiations took place, the JP is being submitted during Rate Year Two of the three-year rate plans. Under these circumstances, the proposed three-year rate plans, together with the Stayout Period provision, will afford the Companies the opportunity to extend the life of their current rates and are consistent with Commission policy that encourages multi-year rate plans in an effort to avoid the substantial efforts and resources required to litigate rate cases each year.[35]

The Commission has approved settlements that contain provisions that apply in a stayout period beyond the term of a comprehensive multi-year rate plan.[36] In this case, in

[35] Case 16-G-0257, National Fuel Gas Distribution Corp., *Order Establishing Rates for Gas Service* (April 20, 2017) at 63-64.

[36] Case 16-G-0058 *et al.*, KeySpan Gas East Corporation d/b/a National Grid – Gas Rates, Joint Proposal dated September 7, 2016, Section VI.17.2 ("2016 Joint Proposal") as adopted in *Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans* (December 16, 2016) ("2016 KEDNY/KEDLI Rate Order"); Case 06-M-0878 *et al.*, Joint Petition of National Grid plc and KeySpan Corporation for Approval of Stock Acquisition and Other Regulatory Authorizations, Gas Rates Joint Proposal dated October 10, 2007 at Articles III and IV as adopted in *Order Adopting Gas Rate Plans For KeySpan Energy Delivery New York And KeySpan Energy Delivery Long Island* (December 21, 2007). *See, also,* 2020 Con Edison Rate Order at 28; 2019 O&R Rate Order at 28.

the absence of a three-year term coupled with the availability of a Stayout Period, the Companies would be required to begin planning their next rate case immediately after the Commission takes action on the JP. In contrast, Commission approval of the Term provision of the JP will afford the Companies the opportunity to focus their efforts on complying with the terms of the JP and conducting their operations in a manner designed to achieve the JP's goals and objectives. The Term provision will also free up the resources of Staff and other parties as a result of not having to participate in ongoing annual rate case processes for the Companies. The Term provision of the JP is clearly reasonable and consistent with the public interest.

2. Revenue Requirements

2.1 Rate Plan Revenue Requirements

The JP proposes the following revenue requirements after amortization of regulatory assets and liabilities for the Companies:[37]

	Rate Year One ($000s)	Rate Year Two ($000s)	Rate Year Three ($000s)
KEDNY	$0	$40,610	$41,868
KEDLI	$0	$23,342	$24,910

In percentage terms, these revenue requirement changes equate to total percentage changes of 0 percent, 2 percent and 2 percent for KEDNY, and 0 percent, 1.8 percent and 1.8 percent for KEDLI in Rate Years One, Two and Three, respectively. These proposed revenue requirements are far lower than those proposed in the Companies' filings in these cases and reflect the parties' efforts to moderate bill impacts in light of the COVID-19 pandemic.

[37] JP Section IV.2.1.

In this regard, in their initial filings in these proceedings dated April 30, 2019, KEDNY and KEDLI filed revised tariff leaves designed to increase gas delivery revenues in Rate Year One – the twelve months ending March 31, 2021 – by approximately $237 million for KEDNY and $49 million for KEDLI. These increases were based upon a proposed Return on Equity ("ROE") of 9.65 percent and a Rate Year One capital structure consisting of 48 percent common equity. The Companies' filings also contained information intended to support up to a four-year rate settlement in which the Companies proposed to reflect a 10.15 percent ROE and a capital structure that would have a 49 percent equity component in Rate Year Two and a 50 percent equity component in Rate Years Three and Four. Based on these parameters, the revenue requirement increases proposed by the Companies for a three-year rate plan covering the period April 1, 2020, through March 31, 2023,[38] were as follows:

	Rate Year One ($000s)	Rate Year Two ($000s)	Rate Year Three ($000s)
KEDNY	$264,558	$137,684	$88,303
KEDLI	$59,520	$46,710	$35,646

After various updates and supplements that accounted for circumstances that changed subsequent to the Companies' initial filings, the Companies proposed Rate Year One revenue requirement increases[39] were as follows:

	($000s)
KEDNY	$199,594
KEDLI	$59,476

[38] *See* Exs. 3 (RRP-1) (KEDNY) and 16 (RRP-1) (KEDLI).
[39] *See* Appendix 1 to the Companies' initial brief dated April 6, 2020.

Staff – the only party to submit a comprehensive revenue requirement for each of the Companies for Rate Year One – recommended the following revenue requirement changes based on a proposed ROE of 8.2 percent and a capital structure with a 48 percent equity component:[40]

	($000s)
KEDNY	$56,087
KEDLI	($16,958)

The revenue requirements proposed in the JP reflect both reasonable compromises of positions advocated in these proceedings that are consistent with the results that would likely be obtained through litigation as well as the parties' efforts through the negotiation process to find additional efficiencies and scale back certain operation and maintenance and maintenance and capital programs proposed in the Companies' filings. Specifically, the proposed revenue requirements reflect:

(i) ROEs of 8.8 percent and ratemaking capital structures that contain a 48 percent equity component in each of the Rate Years;[41]

(ii) operation and maintenance expense levels that reflect reductions of $67.241 million in Rate Year One for KEDNY and $29.771 million for KEDLI in Rate Year One as compared to the Companies' final supplemental filings in these cases,[42] with such amounts including no funding for management wage increases for the Companies' senior managers through June 30, 2022, and no increase for senior executives through June 30, 2023;[43]

[40] *Id*.
[41] JP Section IV.2.1(a) and (b).
[42] JP, Appendix 1, Schedule 1 at 11-12, Appendix 2, Schedule 1 at 11-12.
[43] JP Section IV.2.1(e).

(iii) rate bases that reflect settlement reductions of $45.921 million in Rate Year One for KEDNY and $16.838 million in Rate Year One for KEDLI as compared to the Companies' final supplemental filings in these proceedings;[44]

(iv) depreciation rates that reflect no changes for KEDNY and updates for KEDLI to reflect a 25-year amortization of LPP and a four-year net salvage band in Rate Year One and Rate Year Two, and a 20-year amortization of LPP and a three-year net salvage band in Rate Year Three; and

(v) the amortization of various regulatory liabilities, including the amortization of unprotected excess accumulated deferred income taxes ("ADIT") arising from the passage of the Tax Cuts and Jobs Act of 2017 over a five-year period for KEDNY and a ten-year period for KEDLI.[45]

The overall revenue requirements proposed in the JP as well as the significant inputs to those revenue requirements are supported by the record in these cases and/or applicable Commission precedent. For example, the proposed ROE of 8.8 percent:

- is much closer to the 8.2 percent ROE supported by the Staff Finance Panel in these cases[46] than the ROE of 9.65 percent for a one-year rate case and 10.15 percent for a multi-year rate plan recommended by the Companies' expert witness Ann E. Bulkley;[47]

[44] JP, Appendix 1, Schedule 1 at 4, Appendix 2, Schedule 1 at 4.
[45] JP Section IV.2.1.1.
[46] Ex. 515, Schedule 6 and 514, Schedule 6.
[47] Tr. 4951, 4955. Ex. 403 at 6, 406 at 6.

- is consistent with recent Commission decisions involving multi-year rate plans including the 2020 Con Edison Rate Order[48] and the 2020 NYSEG/RGE Rate Order;[49] and
- is consistent with the ROE used to set rates for a one-year period less than one month ago for Corning Natural Gas Corporation in Case 20-G-0101.[50]

The acceptance of an 8.8 percent ROE by the Companies represents a significant concession on their part and reflects their desire to minimize rate impacts during the COVID-19 pandemic.

Similarly, the fact that the capital structures underlying the revenue requirements proposed in the JP reflect 48 percent equity components is both consistent with recent Commission precedent[51] and reflective of the Companies' willingness to make concessions designed to minimize rate increases. Both the capital structure and ROE proposed in the JP have basis in the record, are well within the range of outcomes that could have resulted from a litigated case, and are otherwise in the public interest during a period in which the New York economy is emerging from the COVID-19 pandemic.

With respect to the overall level of operation and maintenance expenses reflected in the proposed revenue requirements, the record shows that Staff's litigation position in these cases recommended Rate Year One reductions to the level of operation and maintenance expenses reflected in the Companies' final supplemental filings of $47.393

[48] *See* 2020 Con Edison Rate Order at 23.
[49] *See* NYSEG/RGE Rate Order at 43.
[50] Case 20-G-0101, Corning Natural Gas Corp., *Order Establishing Rates and Rate Plan*, (May 19, 2021) ("2021 Corning Rate Order") at 46. The Commission has consistently recognized that multi-year rate settlements should reflect greater ROEs than a one-year rate case to compensate investors for the increased risks associated with commitments not to file increased rates for a multi-year term.
[51] *See* 2020 Con Edison Rate Order at 23-24, 2020 NYSEG/RGE Rate Order at 43, 2021 Corning Rate Order at 37, 2019 O&R Rate Order at 21-24.

million for KEDNY and $21.603 million for KEDLI.[52] In contrast as discussed *supra*, the Rate Year One revenue requirements proposed in the JP reflect operation and maintenance expense reductions of $67.371 million for KEDNY and $29.773 million for KEDLI. These operations and maintenance expense levels reflect the parties' concerted efforts to ameliorate rate impacts during the COVID-19 pandemic and provide incontrovertible proof of the reasonableness of the proposed revenue requirements.

With respect to depreciation rates, the JP proposes a reasonable compromise between the position advocated by the Companies, Staff, and New York City. The JP essentially adopts New York City's position that no change in depreciation rates should be made for KEDNY.[53] At the same time, in recognition that KEDLI will experience smaller percentage rate increases in Rate Years Two and Three, the JP proposes a position that reflects a compromise between the Companies and Staff.[54] Clearly, these results fall within the range of outcomes that could have resulted from litigation and are otherwise reasonable. Moreover, the proposed depreciation rates represent a clear example of the parties' efforts to consider and adopt the recommendations of a party – New York City – that may oppose the JP.

Similarly, the proposed amortization of unprotected excess ADIT over a five-year period for KEDNY and a ten-year period for KEDLI represents a reasonable compromise

[52] *See* Appendix 1 to the Companies' Initial Brief dated April 6, 2020.
[53] Testimony of Lane Kollen. Tr. 5404.
[54] The testimony of Paul N. Normand recommended depreciation rates reflecting a 20-year amortization of LPP and net salvage based on the most recent three years of data. Tr. 1713-14, 1724-25. The testimony of the Staff Rates Panel recommended depreciation rates reflecting a 30-year amortization of LPP and net salvage based on the most recent four years of data. Tr. 2939.

of positions advocated by the Companies, Staff, and PULP.[55] Once again, the compromise represents a result that could have resulted from litigation and is otherwise reasonable.

In sum, it is readily apparent that the revenue requirements proposed in the JP reflect extraordinary compromises as compared to the Companies' initial filings in these proceedings and result in rates that are just, reasonable, and consistent with the public interest.

2.2 Levelization of Rate Increase

The rate plans proposed in the JP also benefit customers by incorporating rate levelization that would not be possible in a one-year litigated proceeding. As discussed *supra*, under the JP, the base rate changes would be implemented in a manner designed to achieve no increase in Rate Year One and annual revenue increases of 2.0 percent for KEDNY in Rate Years Two and Three and 1.8 percent for KEDLI in Rate Years Two and Three.[56] To achieve these outcomes, KEDNY and KEDLI will amortize $94.873 million and $4.835 million of regulatory liabilities, respectively, over the term of the rate plans.[57] These provisions reflect a complex compromise among the Signatory Parties that moderates overall customer bill impacts while enabling the Companies to continue to both maintain their financial standing and provide safe and reliable utility service. The

[55] The Companies recommended that unprotected excess ADIT be amortized over 44 years for KEDNY and 47 years for KEDLI. Tr. 2028, 2276. Staff recommended 10-year amortization for both Companies. Tr. 2591. PULP recommended passing the entire amounts back in the Rate Years. Tr. 1651.
[56] JP Section IV.2.2.
[57] *Id.*

reasonable multi-year rate outcomes proposed in the JP are only possible in the context of a multi-year rate plan.

2.3 Make Whole Provision

Because Commission approval of the JP will occur in Rate Year Two, the JP provides for a make-whole provision whereby the Companies will recover shortfalls and refund over-collections such that the Companies and their customers will be in the same position had Rate Year One rates gone into effect on April 1, 2020. The make-whole provision benefits both the Companies and their customers and is a common provision adopted by the Commission when approving multi-year rate settlements.[58] In this case, the availability of make whole provisions permitted the parties to negotiate the extraordinary compromises reflected in the JP over an extended period. The make whole provisions are clearly in the public interest and should be adopted as proposed.

3. Revenue Allocation and Rate Design

3.1 Revenue Forecast

The Companies' initial forecast of Rate Year One revenue at current rates in direct testimony was approximately $1.806 billion for KEDNY and $1.208 billion for KEDLI.[59] In subsequent iterations, the revenue forecasts were updated to reflect revised gas sales forecasts, as well as updated forecast commodity costs. Updates to the gas sales forecast included the impact of the settlement in Case 19-G-0678, certain corrections and updates to the forecast, and the NE:NY Order.[60] The revenue forecasts reflected in the JP are

[58] *See, e.g.,* 2019 O&R Rate Order at 15-17; 2020 Con Edison Rate Order at 19-20; 2020 NYSEG/RGE Rate Order at 61.
[59] Ex. 128; Ex. 144.
[60] The Companies presented testimony and exhibits in support of their final gas sales forecasts on January 30, 2020 in Company Witness Poe's third supplemental testimony. Tr. 5198-5201; Exs. 395-402.

$1.758 billion for Rate Year One, $1.812 billion for Rate Year Two, and 1.851 billion for Rate Year Three for KEDNY and $1.139 billion for Rate Year One, $1.182 billion for Rate Year Two, and $1.239 billion for Rate Year Three for KEDLI. These figures reflect the impact of COVID-19 on the sales forecast. Details can be found in Appendix 3, Schedule 1 and Appendix 4, Schedule 1 of the JP for KEDNY and KEDLI, respectively.

The Companies' revenue forecasts priced out revenue at the rate code level, whereas Staff advocated pricing out revenues at the service class level.[61] The revenue forecast adopted by the JP utilizes the Companies' approach. The Companies and Staff also had different methods of normalizing historic data used in the Ogive analysis. On this, the JP provides that the Companies will meet with Staff prior to filing the next rate case to discuss potential options for developing a methodology for normalizing data prior to commencing the Ogive process.[62]

The Companies submit that the revenue forecasts in the JP are supported by the record and reflect a reasonable compromise between the Companies and Staff on the modeling approach.

3.2 Newtown Creek

KEDNY's Newtown Creek Project, located at the New York City Newtown Creek Wastewater Treatment Plant, seeks to reduce GHG emissions by promoting renewable natural gas as a long-term supply source. Tr. 102. The project will permit KEDNY to capture the biogas generated from the wastewater plant, filter it through a purification

[61] Tr. 2811. Rebuttal Testimony of the Rate Design Panel.
[62] JP Section IV.3.23.1.

system, and upgrade it to pipeline quality natural gas. *Id*. The gas can then be odorized and injected into KEDNY's distribution systems. *Id*.

The record shows that the Newtown Creek Project will provide several benefits that align with New York's clean energy goals. Specifically, the project will expand the concept of renewable natural gas ("RNG") as a viable alternative to conventional natural gas, thus diversifying the supply of gas. Tr. 103. The project will also provide a new method for managing local waste resources and reducing GHG emissions. *Id*. In total, KEDNY anticipates that the Newtown Creek Project will produce approximately 277,500 dekatherms of pipeline quality RNG, reducing Carbon Dioxide (CO_2) emissions by approximately 16,000 tons annually. *Id*. Moreover, in a separate partnership, New York City is working with Waste Management to incorporate processed food waste into the wastewater sludge at Newtown Creek. *Id*. The combined projects have the potential to reduce annual CO_2 emissions by 90,000 metric tons. *Id*.

With respect to the recovery of costs of the Newtown Creek Project, the JP proposes that KEDNY's Rate Years Two and Three revenue requirements will reflect (i) capital investments of $37.898 million and (ii) depreciation expenses based on a 20-year service life.[63] Beginning in Rate Year Two, KEDNY will reconcile the actual revenues derived from the sales of gas and environmental attributes associated with the project to the amount reflected in rates.[64] KEDNY's rates in Rate Year Two reflect forecast revenues of $1.924 million from the sale of gas and environmental attributes associated with the project plus additional imputed revenues of $4.010 million.[65] In Rate Year Three, KEDNY's rates

[63] JP Section IV.3.2.1(i) and (ii).
[64] JP Section IV.3.2.2.
[65] JP Section IV.3.2.1(iii).

reflect forecast revenues of $1.924 million from the sale of gas and environmental attributes plus $4.007 million of additional imputed revenues.[66] If the actual revenues derived by KEDNY from the project do not exceed the revenues reflected in rates, then KEDNY will be permitted to defer 50 percent of the difference between $1.6 million and the amount reflected in rates.[67] Thus, KEDNY is at risk for $3.767 million of imputed revenues in Rate Year Two and $3.765 million in Rate Year Three.

In addition, if over the three-year term of the rate plans, KEDNY's actual revenues exceed $11.865 million, then any excess revenues will be refunded to KEDNY's customers through the Delivery Rate Adjustment ("DRA") mechanism.[68] After Rate Year Three, any actual revenue in excess of $5.931 million will be refunded to KEDNY's customers through the DRA.[69]

The proposed resolution of issues associated with the recovery of the costs of the Newtown Creek Project reflects a reasonable compromise between the position advocated by KEDNY – which requested full recovery in rates of the costs of the project in its revenue requirement,[70] and Staff – which proposed imputing revenues in an amount equal to the cost of the project in the development of KEDNY's rates.[71] Affording KEDNY the opportunity to recover the costs of the Newtown Creek Project in rates is consistent with the Commission's previous determination in Case 16-G-0059 that KEDNY would continue

[66] *Id*.
[67] JP Section IV.3.2.2. The maximum amount of such deferrals is $2.167 million in Rate Year Two and $2.165 million in Rate Year Three.
[68] *Id*.
[69] *Id*.
[70] Tr. 104.
[71] Tr. 3623-24.

with the development of the Newtown Creek Project,[72] as well as other Commission decisions that have encouraged the development of RNG as an alternative source of gas supply.[73] The resolution of the Newtown Creek cost recovery issues is within the range of outcomes that could have resulted from a litigated case and otherwise consistent with the public interest.

3.3 Revenue Allocation

In their filings in these proceedings, the Companies' revenue allocation proposal was based on its embedded cost of service studies ("ECOSS").[74] The Companies' ECOSS were forward-looking (or *pro-forma*) studies that presented, *inter alia*, the costs that the Companies expected to incur in Rate Year One, the allocation of costs to each service class, the calculation of the return provided by each service class and the comparison of those returns to the system average rate of return.[75] Staff, on the other hand, recommended using an historic ECOSS instead of the Company's *pro-forma* study.[76] The historic ECOSS advocated by Staff allocated the costs incurred during the Historic Test Year – the year ending December 31, 2018 – among the various service classifications.[77] Staff argued that a *pro-forma* ECOSS can introduce additional errors in its results and asserted that using a historic cost of service study is more appropriate unless "very large changes in utility

[72] *See* Section IV.5.6 of the Joint Proposal dated September 7, 2016 in Cases 16-G-0059 *et al.* as adopted in the 2016 KEDNY and KEDLI Rate Case Order.
[73] 2020 Con Edison Rate Order at 79; Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests By National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, *Order Instituting Proceeding and to Show Cause* (October 11, 2019) at 6.
[74] The Companies' ECOSS were presented in Exs. 726 (RDP-3ATS) and 726 (RDP-3BTS) for KEDNY and KEDLI, respectively.
[75] Tr. 2649, 2656-57, 2659.
[76] Tr. 2943.
[77] Historic ECOSS were prepared by the Companies at the request of Staff, using the same methodology as the Companies' *pro forma* ECOSS. Ex. 365.

operations are projected."[78] Separately, while UIU supported the use of a *pro-forma* ECOSS, UIU proposed that distribution main costs be classified as 100 percent demand-related, as opposed to the Companies' approach of separating such costs between customer-related and demand-related components using a minimum system study.[79] Both the Companies' *pro forma* and historic ECOSS separated mains costs between demand-related and customer-related using the minimum system study.

The revenue allocation proposed in the JP does not use or otherwise reflect any one ECOSS sponsored by any party in these proceedings. Instead, the revenue allocation proposed in the JP reflects a balancing of interests, including bringing the service classes closer to the system average rate of return while mitigating severe impacts to any one group. The proposed rates for Rate Year One are unchanged from the prior year (*i.e.*, the rates presently in effect), and revenue increases in Rate Years Two and Three will be allocated as set forth in the JP on Appendix 3, Schedule 2 for KEDNY and Appendix 4, Schedule 2 for KEDLI. The revenue allocations are not intended to establish precedent in support of the use of any embedded cost of service methodology or any revenue allocation approach in any future rate proceeding.

The Companies held multiple breakout meetings to discuss revenue allocation and rate design methodology with Staff and the parties. The revenue allocation proposed in the JP is a result of those discussions and is reasonable because it is a negotiated outcome that balances the interests of all customers while producing the agreed-upon revenue, moving service classes closer to the system average rate of return, and mitigating severe

[78] *Id*.
[79] Tr. 1372, Tr. 5538.

impacts to any one group. As such, the Companies submit that the proposed revenue allocation falls within the range of results that could have resulted from litigation and should be adopted by the Commission.

3.4 Rate Design – Firm Service Classifications

In their filings in these proceedings, the Companies initially proposed rate designs that allocated the revenue requirement increase to both the minimum charge(s) and the volumetric rates.[80] For service classes with rate blocks (different rates based on usage level), the Companies proposed to "flatten" the rate blocks, or reduce the ratio of the penultimate block rate to the tail block rate, to incentivize consumers to reduce consumption. Staff agreed with the Companies' proposal to reduce the slope of the declining block rates, but advocated for a more aggressive approach to flattening the block rates compared to the Companies' proposed rate design.[81] The rate design proposed in the JP reflects a proposal to maintain the current minimum charges and to make modest changes to the flatten the block rates for those classes with multiple rate blocks.

The rates for each firm service classification are set forth in the JP in Appendix 3, Schedule 3 for KEDNY and in Appendix 4, Schedule 3 for KEDLI. Bill impacts resulting from this rate design are set forth in Appendix 3, Schedules 4.1-4.3 for KEDNY and in Appendix 4, Schedules 4.1-4.3 for KEDLI. The bill impacts also include the estimated impacts of surcharges being proposed in this case which include the Demand Capacity Surcharge Mechanism, Demand Response O&M surcharge, and the Net Utility Plant tracker surcharge. The rate designs for both KEDNY and KEDLI for Rate Year Two reflect

[80] Tr. 2825. The Companies' final rate design proposals are set forth in Ex. 727 (RDP-4ATS), Schedule 3 and Ex. 727 (RDP-4BTS), Schedule 3 for KEDNY and KEDLI, respectively.
[81] Tr. 2958. Testimony of the Staff Rates Panel.

the following assumptions: (i) that present rates will continue until July 31, 2021, and (ii) new rates will be effective August 1, 2021, and will produce for each rate class the total revenue for Rate Year Two allocated to that class shown in Appendix 3, Schedule 2.1 for KEDNY and Appendix 4, Schedule 2.1 for KEDLI.[82] Differences between the revenue allocated to each class and the revenue actually received by KEDNY and KEDLI will be reconciled through the Revenue Decoupling Mechanism ("RDM"), where applicable.[83]

The rate design reflected in the JP balances the goals of avoiding severe impacts to any subgroups of customers and providing appropriate price signals to affect usage patterns, including promoting energy conservation. The rate design also produces bill impacts that reflect appropriate revenue increases (in Rate Years Two and Three) based on reasonable rates that are designed to produce the agreed-upon revenues and that will afford the Companies the opportunity to recover their costs and earn a fair return on investment. Therefore, the rate design adopted by the JP is reasonable and should be adopted by the Commission.

The JP provides that the Companies will develop an Outreach and Education Plan that will target energy efficiency programs for high use customers in consultation with Staff and interested parties within 45 days of the issuance of a Commission order adopting the terms of this JP.[84] The Outreach and Education Plan will encourage high usage customers to employ available energy efficiency measures to reduce their usage. This outcome is consistent with the public interest and Commission policy that encourages cost effective energy efficiency.

[82] JP Section IV.3.4.
[83] *Id.*
[84] *Id.*

3.5 Rate Design – Non-Firm Demand Response

Pursuant to the Commission's *Order Approving Tariff Revisions and Directing Further Tariff Filings* ("TC/IT Order") issued and effective February 7, 2019, in Cases 16-G-0058 and 16-G-0059, the Companies established new non-firm demand response ("NFDR") service classifications in place of the existing temperature controlled ("TC") and interruptible ("IT") service classifications. Specifically, the NFDR service class is a two-tier structure differentiated by the customer's fuel switching equipment and the designated interruption temperatures.[85] Tier 1 customers must have fully automatic switchover equipment, whereas Tier 2 customers are permitted to have fully automatic, semi-automatic, or manual switchover equipment.[86] Currently, the interruption temperature for Tier 1 customers is 16 degrees Fahrenheit, and 20 degrees Fahrenheit for Tier 2 customers.

In their filings in these proceedings, the Companies proposed a volumetric rate for Tier 1 that is lower than the otherwise applicable firm rate, and an additional five percent discount from the Tier 1 rate for Tier 2 customers.[87] Staff's testimony proposed 30 and 40 percent discounts from the total bill of the otherwise applicable firm service.[88] After negotiations, the Companies agreed in the JP to an even greater discount for the non-firm demand response service, with volumetric delivery rates set at 50 and 60 percent below the tail block volumetric rate (excluding deferral surcredits) of the applicable equivalent firm service class for Tier 1 and Tier 2, respectively.[89] The NFDR service classifications will

[85] Tr. 2693.
[86] *Id.*
[87] Tr. 2668-69. Testimony of the Rate Design Panel.
[88] Tr. 2964-65. Testimony of the Staff Rates Panel.
[89] JP Section IV.3.5.

include an additional non-firm delivery rate discounted off the volumetric tail block rate of the multi-family firm service class for KEDNY only.[90]

The non-firm rate design is set forth in the JP in Appendix 3, Schedule 3 for KEDNY and in Appendix 4, Schedule 3 for KEDLI. The present rates for the NFDR classes, which are assumed to remain in effect through July 31, 2021, are the same as the tail block rates for the otherwise applicable classes.[91] The non-firm service class rate design proposed in the JP is reasonable and consistent with Commission policy because it provides a greater incentive for non-firm demand response service, which will benefit the Company's gas system and help reduce firm peak demand.

3.5.1 Commodity Pricing For Non-Firm Demand Response Sales Services

In their initial filings in these proceedings, the Companies proposed to include gas costs incurred for, and recovered from, the NFDR service classifications in their annual gas cost reconciliation.[92] Further, the Companies proposed to calculate the non-firm cost of gas using the same formula used to calculate the cost of gas for the former TC service class, which used a weighted average cost of gas ("WACOG") to calculate the applicable gas costs and included a demand charge.[93] Staff proposed that the Companies instead use the Incremental Cost of Gas ("ICOG") to calculate the non-firm sales service cost of gas.[94] The Companies' ICOG calculation reflects the highest cost supply including commodity,

[90] *Id.*
[91] *Id.*
[92] Tr. 2833.
[93] *Id.*
[94] Ex. 644 at 14.

variable cost, and the 100 percent load factor per unit fixed costs of the pipeline transportation path.[95]

Under the JP, the commodity costs for NFDR service will be based on the ICOG weighted by the upstream pipeline city gates and volumes used to determine deliveries to non-firm customers, plus the demand charge reduced to ten percent of the allocated pipeline transportation costs, and plus the applicable Lost and Unaccounted for Gas ("LAUF") factor (the total commodity price to be referred to as "Weighted Monthly ICOG").[96] Each month, the Companies will charge NFDR sales customers the lower of the forecast Weighted Monthly ICOG rate or the Monthly Cost of Gas (excluding adjustments) for the otherwise applicable firm service class. The Companies will not separately reconcile the Weighted Monthly ICOG gas costs for non-firm sales customers during the term of the rate plans, but will develop and propose a non-firm gas cost reconciliation mechanism to be included in the Companies' next base rate filings.[97]

The commodity pricing for NFDR sales services proposed in the JP represents a compromise between the Companies and Staff that is within the possible range of outcomes in a litigated proceeding. Therefore, the Commission should adopt the JP's proposals concerning NFDR commodity pricing.

3.5.2 Non-Firm Demand Response Targets

KEDNY's Non-Firm Demand Response targets are set forth in the JP in Appendix 3, Schedule 5.2 and KEDLI's Non-Firm Demand Response targets are set forth in Appendix 4, Schedule 5.2. Actual revenues received from the NFDR customers will be

[95] Ex. 641 at 47-49.
[96] JP Section IV.3.5.1.
[97] *Id.*

reconciled to the target revenue and any over/under recoveries will be credited to or recovered from firm customers on an annual basis.

3.6 Lost and Unaccounted For Gas

In their initial filings in these proceedings, the Companies proposed four modifications and/or updates to their existing recovery mechanism for LAUF gas. Specifically, KEDNY and KEDLI each proposed to (i) update their LAUF targets and associated deadbands; (ii) align the implementation of the new targets with the start of the next annual cycle for calculating the Companies' Gas Adjustment Clause ("GAC"); (iii) remove the adjustment to the LAUF mechanism for inactive accounts; and (iv) modify the calculation to gross up gas costs for LAUF gas.[98]

Staff disagreed with KEDLI's proposed LAUF target.[99] Specifically, Staff's proposed calculation for KEDLI's LAUF target excluded the actual LAUF from 2014.[100] Staff also disagreed with the Companies' proposal to remove inactive account adjustments from the LAUF calculation.[101]

The LAUF proposal in the JP calculates the LAUF based on a five-year historic average and excludes 2014 data for KEDLI.[102] The new LAUF targets and dead bands adopted in the JP will become effective in the month subsequent to the month in which the Commission issues an order adopting the terms of this JP and will be prorated as necessary for the GAC year in which they are implemented.[103] Beginning September 1, 2021, the

[98] Tr. 2841.
[99] Tr. 2973.
[100] Tr. 2974.
[101] Tr. 2977.
[102] See JP, Appendix 3, Schedule 8 for KEDNY and Appendix 4, Schedule 8 for KEDLI for the calculation of targets and deadbands.
[103] JP Section IV.3.6.

updated LAUF targets and dead bands will be reconciled on a GAC year basis with the GAC year ending August 31, 2022. In addition, the LAUF factor of adjustment calculation to gross up gas costs for LAUF Gas will be modified.[104]

Additionally, the JP provides that the Companies will convert the existing inactive account adjustment mechanism to a monetary adjustment by multiplying the inactive account volumes by each Company's WACOG for the period applicable to the calculation.[105] The monetary inactive account adjustment will be included in the annual GAC reconciliation as a separate line item that increases gas cost revenues.[106]

The LAUF proposal reflects a reasonable compromise of positions between the Companies and Staff that is within the range of results that could have resulted from litigation. Therefore, the terms of the JP should be adopted by the Commission.

3.7 Revenue Decoupling Mechanisms

The JP reflects the Companies' proposals to (i) implement a revenue per class RDM for SC 1B and 1A; (ii) remove the incremental growth incentive from the SC 2 and SC 3 RDMs; and (iii) change the reconciliation period from a calendar year ("CY") basis to a Rate Year basis. Because the JP will become effective in Rate Year Two, the Companies will refile their annual RDM reconciliation for the period January 1, 2020, through March 31, 2021, 45 days after the issuance of a Commission order adopting the terms of the JP reflect the appropriate Rate Year One RDM targets.[107] No parties objected to the

[104] *Id.*
[105] JP Section IV.3.6.1.
[106] *Id.*
[107] Section IV.3.7.

Companies' RDM proposals, and they are otherwise in the public interest and should be adopted.

3.8 System Benefits Charge

In their initial filings, the Companies proposed to begin recovering Company-sponsored energy efficiency costs through base rates and continue recovering costs associated with NYSERDA energy efficiency programs through the Clean Energy Fund ("CEF") as part of the System Benefits Charge ("SBC").[108] The Companies also proposed to expand the SBC to baseload distributed generation and non-firm demand response service classifications to allow customers under those service classifications to participate in the Companies' energy efficiency programs.[109] New York City supported non-firm customers participating in and paying for energy efficiency programs but argued that those customers should not pay the SBC until adequate energy efficiency programs are available to them.[110] Further, Staff agreed with the Companies' proposal to move the energy efficiency program costs into base rates. Staff agreed that baseload DG customers can contribute to the energy efficiency costs, but that non-firm customers should not be separately charged for such costs, as their discounted rates are off the otherwise applicable firm rate that would already account for the energy efficiency costs in base rates.[111]

The JP recognizes that, CEF budget costs were collected through the SBC through December 31, 2020. The Companies' energy efficiency costs will be recovered in base rates beginning in Rate Year One, with Rate Year One costs recovered through the make

[108] Tr. 2698-99.
[109] Tr. 2698, Tr. 2781.
[110] Tr. 5556. Testimony of New York City Rate Design Panel.
[111] Tr. 2982-83.

whole provision.[112] The SBC statement will be discontinued as of the effective date of the tariffs implementing the rates authorized by a Commission order adopting the terms of the JP. The Companies will complete a final reconciliation of the prior period CEF and EE Tracker components of the SBC and file the results of that reconciliation within 90 days of a Commission order. Any over- or under-collection identified in the final reconciliation will be deferred for later return or recovery from customers. In addition, if KEDNY and/or KEDLI does not file for new rates to become effective on or before April 1, 2023, the Companies will be permitted to recover through a surcharge any Commission-approved NE:NY budget (or other approved energy efficiency programs) not reflected in base rates. The Companies will include these costs in the Demand Capacity Surcharge Mechanism, which will be allocated based on total gas deliveries to all firm and non-firm service classifications.

This provision of the JP is reasonable because it is consistent with the NE:NY Order, provides the Companies with the ability to fully recover their energy efficiency costs consistent with Commission policy, and reflects the agreement between the Companies and Staff to move energy efficiency costs into base rates.

3.9 Paperless Billing Credit

The JP sets the updated Paperless Billing Credit at $0.43 and $0.41 per month for KEDNY and KEDLI, respectively.[113] In their testimony, Staff did not take issue with the Companies' calculation methodology but recommended a full year of actual billing data.[114]

[112] JP Section IV.3.8.
[113] JP Section IV.3.9.
[114] Tr. 2952.

Consistent with this recommendation, the rates proposed in the JP are based on a year of actual experience on the enhanced paperless billing platform.

3.10 Gas Safety and Reliability Surcharge

The Companies' existing Gas Safety and Reliability Surcharge ("GSRS") mechanisms, adopted by the Commission in the Companies' previous base rate cases in Case 16-G-0058 and 16-G-0059 (the "2016 KEDNY and KEDLI Rate Cases"), allow the Companies to recover: (1) a return on investment, depreciation expense, and related operations and maintenance expense associated with incremental LPP removals above the levels funded in base rates subject to a calculated unit cost cap; (2) the costs to repair certain incremental leaks beyond established leak backlog targets; and (3) any earned PRA for LPP unit cost productivity, LPP removals, and leak repairs. Tr. 4252-54, 4263, 4403-04, 4414. In direct testimony, the Companies proposed to continue all aspects of the existing GSRS and proposed a new, unit-cost driven productivity incentive for the Customer Connections program that would be recovered through the GSRS. Tr. 4252-54, 4403-04.

The DPS Staff Policy Panel ("SPP") proposed to retain the components of the GSRS, with the exception of the LPP unit cost productivity incentive and PRA for LPP removal, which the SPP recommended removing from recovery under the GSRS. Tr. 3604-3605. Further, the SPP did not support the Companies' proposed Customer Connections incentive and proposed an incentive to replace the existing LPP PRAs with a PRA based on the Companies' ability to deliver their LPP programs efficiently for less than the budgeted capital program amounts. Tr. 3605-3607. New York City supported the rate allowances for proactive LPP removal programs, but asserted that the Companies

should be required to defer the costs of any incremental LPP removal for future examination as opposed to receiving an incentive. Tr. 5427.

The JP proposes continuation of the GSRS, subject to certain modifications. The JP provides for recovery of: (i) incremental proactive LPP replacement costs up to 102 percent of the rate allowance unit cost; (ii) any earned leak repair PRA; and (iii) incremental leak repair costs. The Companies will no longer be permitted to recover any earned PRA for LPP removal or unit costs through the GSRS. Additionally, the JP provides for development of a general capital efficiency incentive to be collected through the GSRS if interested parties can agree on an incentive within a year of the Commission's issuance of an order adopting the JP.

LPP removal and leak repairs improve system safety, advance clean energy objectives including methane reduction, and generally provide cost savings to customers through reduced operation and maintenance and emergency leak response costs. These provisions of the JP are reasonable because they encourage the Companies to make meaningful progress towards the Commission's LPP removal and environmental goals while also fairly permitting the Companies to recover their reasonably incurred costs for activities that support these goals beyond the levels established in rates.

3.11 Merchant Function Charge

The JP adopts the Companies' proposal to eliminate tariff provisions that allow for mid-year adjustments to the annual imbalance charges for the Merchant Function Charges ("MFC").[115] The JP does not change any calculation methodology for the MFC but reflects updated targets for certain components including the Gas Supply Procurement and

[115] JP Section IV.3.11.

Commodity-Related Credit and Collection targets, as well as updated Commodity-Related Uncollectible rates, Commodity-Related Working Capital rates and Return Requirement on Gas Storage Inventory. The annual MFC reconciliation will continue to be for the period September 1 to August 31 each year. No parties objected to the Companies' MFC proposal, and thus these terms of the JP are reasonable.

3.12 Delivery Rate Adjustment

Under the JP, the Companies will recover certain surcharges from firm customers through the DRA, including but not limited to: SIR (Site Investigation and Remediation Surcharge), RDM (Revenue Decoupling Mechanism), GSRS (Gas Safety and Reliability Surcharge), NFRR (Non-Firm Demand Response Revenues Reconciliation Surcharge), EGR (Electric Generator Revenue Reconciliation), NYFS (New York Facilities System Surcharge), EAM (Earnings Adjustment Mechanism), NCRR (Newtown Creek Revenue Reconciliation) (KEDNY only), DCSM (Demand Capacity Surcharge Mechanism), DROM (Demand Response O&M), and NUP (Net Utility Plant and Depreciation Expense Reconciliation in the Stayout Period).[116] The *pro forma* DRA statements for KEDNY and KEDLI, respectively, are included in the JP in Appendix 3, Schedule 11 and Appendix 4, Schedule 11.

3.13 Consolidated Billing Fees

The JP reflects updated consolidated billing fees for KEDNY and KEDLI. KEDNY's consolidated billing fee will be updated from the current rate of $1.42 to $1.31 per bill, except for Rate Year Two. For Rate Year Two, KEDNY's consolidated billing fee will be $1.26 per bill, which reflects (i) the reduction in the billing fee and (ii) a

[116] JP Section IV.3.12.

compressed period over which the total Rate Year Two consolidated billing fee revenue will be collected (the eight-month period from August 2021 through March 2022). KEDLI's consolidated billing fee will remain at $1.32 per bill. In addition, KEDLI's SC 9 will be eligible for the consolidated billing charge.[117] These updated fees reflect the current costs of performing these services and are therefore reasonable.

3.14 Miscellaneous KEDNY Fees

The JP updates KEDNY's unproductive field visit and reconnection fees to appropriately reflect the current cost of performing these services. No party contested these updated fees and they should therefore be found to be reasonable.

3.15 Miscellaneous KEDLI Fees

The JP also updates KEDLI's unproductive field visit and reconnection fees to appropriately reflect the current cost of performing these services. No party contested these updated fees, and they should therefore be found to be reasonable.

3.16 New York Facilities System

The JP reflects the parties' agreement to the Companies' proposal to change the timing of the New York Facilities System ("NYFS") reconciliation from a calendar year to a fiscal year ("FY") basis, with the revised surcharges effective July 1. For the CY 2020 annual reconciliation that was already filed, the Companies will refile their annual NYFS reconciliation for the period January 1, 2020, through March 31, 2021, to reflect the appropriate Rate Year One revenue and cost targets within 45 days of the issuance of a

[117] JP Section IV.3.13.

Commission order adopting the terms of this JP.[118] These provisions will improve the transparency of NYFS costs and should therefore be adopted by the Commission.

3.17 Economic Development Discount Program Rates

The JP provides that KEDNY will amend its Area Development Rate to update the current designated areas to include areas that better reflect current economic development priorities, as proposed in its filing. KEDLI will implement a similar Area Development Rate. The Companies will amend their Business Incentive Rates to include qualifying tenant businesses locating or expanding in properties that receive benefits from an Industrial Development Agency. KEDLI will expand its Business Incentive Rate to include non-firm customers. There will be no deferral mechanism for economic development rate discounts during the term of the rate plans. These economic development rate provisions will enable the Companies to better align their programs with New York State policy and should therefore be adopted.

3.18 Natural Gas Vehicles ("NGVs")

The JP reflects the Companies' proposal to amend their NGV service classifications – SC4A-CNG for KEDNY and SC9 for KEDLI – to offer an interruptibility option to new NGV customers. The Companies will charge the same rates for firm and interruptible NGV services. These provisions are reasonable because they will afford NGV users greater service options.

3.19 Electric Generation Rates

Other than updating the electric generator revenue targets, the Companies proposed to defer to the statewide proceeding in Case 17-G-0011 the resolution of certain issues that

[118] JP Section IV.3.16.

LIPA raised with regard to KEDLI's electric generation rates. The JP reflects an agreement that, to the extent that the Commission requires changes to electric generation rates in Case 17-G-0011 or otherwise, the Companies will, in the absence of contravening language in any applicable Commission order, work with LIPA to implement such revised rates within three months of a Commission order requiring changes. These provisions are in the public interest because they will ensure that the Companies will conform their electric generation rates to any changes in Commission policy in an expeditious manner.

3.20 Miscellaneous Tariff Changes

The JP proposes tariff changes to reflect the Signatory Parties' agreement to:

(i) Implement a new EAM surcharge;

(ii) Clarify non-firm demand response service classifications to provide for waiver of alternative fuel requirements for customers that are able to cease gas consumption during interruption events;

(iii) Revise non-firm demand response service classifications to provide that non-firm customers with automatic switching equipment must provide 120 days' notice to choose a tier for the upcoming winter period commencing November 1 (except for Winter 2021/2022, for which customers must provide 60 days-notice or no less than 15-days after the Commission order adopting the terms of this JP, whichever is shorter);

(iv) Eliminate the mid-year adjustment to the annual cost of gas imbalance factor;

(v) Eliminate the mid-year adjustment to the MFC annual imbalance factor;

(vi) Update provisions relating to the Annual Cost of Gas Imbalance surcharge/refund calculation. In the "Total Actual Gas Credits" section, the fourth component, the Non-Firm Demand Response Penalty Refund that is used in the reconciliation, was inadvertently excluded in the tariff;

(vii) Update provisions relating to the GSRS;

(viii) Update provisions relating to the customer billing charge to include SC 9 (KEDLI only);

(ix) Modify the SC4A-CNG (KEDNY) and SC9 (KEDLI) tariff to offer an interruptibility option for new NGV customers;

(x) Amend their Area of Development Rider and Business Incentive Rates;

(xi) Expand KEDNY's energy efficiency participation to the following service classifications: SC 21 – Baseload Distributed Generation, SC 17-21 – Baseload Distributed Generation (firm service classification), SC 22 – Non-Firm Demand Response Sales Service and SC 18-22 – Non-Firm Demand Response Transportation Service. Expand KEDLI's energy efficiency participation to SC 17 – Baseload Distributed Generation, SC 5-17 – Baseload Distributed Generation (firm service classification), SC 18 – Non-Firm Demand Response Sales Service and SC 19 – Non-Firm Demand Response Transportation Service. The Non-Firm Demand Response service classifications will not be allocated any energy efficiency costs because their delivery rates are based on a discount from the otherwise applicable firm service classification whose base rates already include energy efficiency costs;

(xii) Add tariff provisions regarding the Demand Capacity Surcharge Mechanism, which will identify the components included (incremental energy efficiency costs, Demand Response program costs, Long-Term Capacity project costs, and Incremental NE:NY budget costs) as well as the operation of the mechanism as further explained in Section IV.3.22 below;

(xiii) Add a tariff provision regarding Newtown Creek Revenue Reconciliation to include details regarding the annual targets and timing of the reconciliations in accordance with Section IV.3.2.2 – KEDNY only;

(xiv) Eliminate the Tax Reform Surcredit ("TRS") from the General Information section. The Companies will also file a zero rate TRS statement on one-day notice before new delivery rates become effective;

(xv) Update the marginal cost rates applicable to Excelsior Jobs Program ("EJP") customers effective August 1, 2021, as shown in Appendix 3, Schedule 12 for KEDNY and Appendix 4, Schedule 12 for KEDLI; and

(xvi) Discontinue the current lost revenue mechanism for non-RDM service classifications currently included in the calculation of the SBC as described on Tariff Leaves 138.50.1 and 119.50.1 for KEDNY and KEDLI, respectively.

In addition, (i) KEDNY will eliminate Service Classifications SC 1-BI – 3-5 Family Residential Heating Conversion Service and SC 17-BI – 3-5 Family Residential Heating Conversion Service, and (ii) the Companies will, within 120 days of the issuance of a Commission order adopting the terms of this JP, file tariff revisions to streamline the general information sections of their tariffs in a manner consistent with the

recommendations filed by Niagara Mohawk Power Corporation ("Niagara Mohawk") in Case 20-G-0381.

These tariff-related provisions are reasonable because they will permit the Companies to conform their tariffs to the agreements reflected in the JP.

3.21 Green Gas Tariff

The Companies proposed a Green Gas Tariff offering that would have enabled customers to purchase RNG voluntarily to meet all or a portion of their energy needs. Tr. 56-59. In response to opposition to this proposal, the JP provides that the Companies will not implement the proposed Green Gas Tariffs during the term of the rate plans.[119] This provision represents an outcome that is within the range of results that could have been achieved through litigation and is therefore reasonable.

3.22 Demand Capacity Surcharge Mechanism

As discussed *supra*, in Case 19-G-0678, the Commission approved a settlement agreement wherein the Companies agreed to identify potential solutions to address the gap between the Companies' supply of natural gas and the forecast of firm demands of customers.[120] The Companies' portfolio of solutions includes incremental non-infrastructure solutions (*i.e.*, demand response programs and energy efficiency programs

[119] JP Section IV.3.21.
[120] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, One Commissioner Order Adopting and Approving Settlement (November 26, 2019) ("Case 19-G-0678 Order; *see also* Case 19-G-0678, Implementation and Contingency Plan (filed October 21, 2019).

designed to achieve savings in excess of NE:NY targets and budget).[121] The Companies have also developed or are considering certain Long-Term Capital Capacity Projects to address the supply/demand gap.[122] The JP provides a mechanism for recovery of costs associated with the incremental demand response, energy efficiency, and Long-Term Capital Capacity Projects – the Demand Capacity Surcharge Mechanism, beginning in Rate Year Two. The implementation of the Demand Capacity Surcharge Mechanism is the result of a significant concession by the Companies that will tie the Companies' ability to recover the costs of the Long-Term Capital Capacity Projects to both an additional level of review by an independent consultant and the Companies' ability to deliver various non-infrastructure solutions, including energy efficiency, demand response and electrification targets. The establishment of the Demand Capacity Surcharge Mechanism is clearly in the public interest and should be adopted as proposed.

3.22.1 Energy Efficiency

The Companies' initial proposal in this case reflected a portfolio of efficiency initiatives building on the existing Energy Transition Implementation Plan ("ETIP") portfolio and adopting presumed annual energy efficiency budgets established in Case 18-M-0084. Tr. 46-48. Subsequently, to meet the Commission's aggressive energy efficiency targets for the 2020-2025 period issued in the NE:NY Order, the Companies proposed to expand their energy efficiency program budgets and align with the updated, utility-specific

[121] For a summary of non-infrastructure solution options, *see* the Companies' Downstate New York *Natural Gas Long-Term Capacity Supplemental Report* in Case 19-G-0678 (filed May 8, 2020) at pages 63-64. The potential incremental energy efficiency and demand response programs were detailed in the Companies' Natural Gas Long-Term Capacity Report Technical Appendix in Case 19-G-0678 (filed April 1, 2020) at pages 5-8 (energy efficiency) and pages 10-12.
[122] JP Section IV.5.3.

annual budgets and targets contained in the NE:NY Order.[123] Tr. 228. DPS Staff concurred with this approach. Tr. 727.

To permit recovery of the costs of deploying energy efficiency programs that are incremental to the NE:NY annual targets and designed to meet Demand Capacity needs as identified in Case 19-G-0678 ("incremental energy efficiency programs"), the JP provides that such costs will be recovered through the Demand Capacity Surcharge Mechanism. For any Commission-approved energy efficiency costs not already included in base rates the Demand Capacity Surcharge Mechanism implemented in Rate Year Two will enable the Companies to recover fifty percent of a forecast of incremental costs incurred in Rate Year Two. In years following Rate Year Two, the Demand Capacity Surcharge Mechanism will be designed to recover the difference between actual costs and the fifty percent of the remaining costs incurred in the previous Rate Year as well as fifty percent of the costs forecast to be incurred in the year in which the Demand Capacity Surcharge Mechanism will be in effect. Thus, the JP proposes to allow the Companies to recover the funds authorized for the entire NE:NY period (2019-2025) more rapidly to assist with addressing the capacity issues identified in Case 19-G-0678.[124] Recovery of incremental energy efficiency program costs through the Demand Capacity Surcharge Mechanism will be capped at the cumulative 2019-2025 budget, as adopted by the Commission in the NE:NY Proceeding, less previously recovered amounts and less the base NE:NY budget that is being recovered through base rates. If, following the interim review scheduled to take

[123] *See Id.*, NE:NY Order, at 66 (anticipating that companies with pending rate cases would have the opportunity for the new energy efficiency budgets to be recognized).
[124] Shifting of NE:NY funds between years was deemed permissible. *See* NE:NY Order, at 69; at 111.

place in the NE:NY Proceeding,[125] the Commission authorizes additional budgets, the cap for the recovery of energy efficiency costs through the Demand Capacity Surcharge Mechanism will be updated accordingly. This mechanism to fund incremental energy efficiency programs during the 2021-2025 period is consistent with the NE:NY Order, which noted that "[i]n parallel…the Commission is evaluating near-term gas supply constraints and potential responses to those constraint[s]," that the "potential for demand-reducing measures to alleviate gas supply constraints will be considered on a utility-specific basis," and that "targets and measures in addition to those adopted in this Order may be adopted either in rate cases or in proceedings directly addressing supply constraints."[126]

To implement the energy efficiency portion of the annual Demand Capacity Surcharge Mechanism, the Companies will make annual filings ("Demand Side Management filings") in Cases 19-G-0309 and 19-G-0310 that will describe the energy efficiency programs for which the Companies are seeking cost recovery (setting forth budgets and targets), and afford the Commission sufficient time to determine whether the incremental energy efficiency programs should be undertaken and made eligible for cost recovery. In addition, in the Companies' annual Demand Side Management filings, the Companies may seek to recover through the Demand Capacity Surcharge Mechanism incremental resources, including incremental internal labor and/or contractors, needed to implement Commission-approved energy efficiency programs. This mechanism strikes a reasonable balance whereby the Companies are provided a timely means of cost recovery

[125] *See Id.*, NE:NY Order, at 60 (interim review).
[126] Case 18-M-0084, *In the Matter of a Comprehensive Energy Efficiency Initiative*, NE:NY January 2020 Order, at 38.

to support the dramatic and sustained ramp-up in capacity-oriented energy efficiency programs, while also affording the Commission opportunity to review the programs annually.

3.22.2 Demand Response

The Companies have previously established performance-based demand response ("DR") programs that offer firm gas customers compensation based on their curtailment of usage when notified by the Companies. Tr. 66-69. The Companies proposed to expand these performance-based programs to influence and manage system peak demand and support system pressure more effectively. Tr. 66-67; Tr. 69-70; Exhibit 39, Schedule 5. Staff supported approval of the Companies' expanded demand response program, proposing rules adjustments to the DR program. Tr. 689-692. Staff recommended that non-labor operation and maintenance costs of the program – essentially, the incentives paid to participants for curtailing their gas usage – be recovered through a surcharge (*i.e.*, the DRA mechanism) rather than through base rates. Tr. 694- 695; Tr. 2848; Tr. 3594. The Companies' position was that requiring recovery of non-labor operation and maintenance costs for the Demand Response Program entirely in the year following the program would create a lag in the recovery and add to the adverse cash flow impacts affecting the Companies' credit metrics. See Companies' Reply Brief at 95.

The JP provides that the Companies will be permitted to recover actual incremental annual demand response spending in a manner similar to that permitted for recovery of incremental energy efficiency spending through the Demand Capacity Surcharge Mechanism.[127] This is a reasonable compromise, in that half of the non-labor operation

[127] JP Section IV.3.22.2.

and maintenance costs for each year will be recovered in advance of the DR program year spending and half following the program year, thereby mitigating adverse cash flow impacts while basing recovery on the prior year's actual incentives paid. Recovery is capped at prescribed levels for each of the Companies in Rate Year Two, Rate Year Three, and the Stayout Period.[128]

The Companies will make annual filings (as part of the Demand Side Management filings) that will describe the demand response programs to be implemented in the upcoming winter heating season and afford the Commission opportunity to determine whether the incremental programs should be undertaken.[129] The Companies' Demand Side Management filings for the incremental demand response programs will incorporate the reporting obligations contained in the Commission's "Order Directing Implementation Plan Filing, Annual Reporting, and Tariff Modifications" (issued October 15, 2020) in Cases 20-G-0086 and 20-G-0087, including, *inter alia*, the costs incurred for the incremental demand response programs, total and new program enrollment, program performance, and an evaluation of the cost-effectiveness of each program component. This proposed recovery mechanism is reasonable because it will permit the Companies to rapidly deploy and fund demand response at levels commensurate with capacity needs in a manner that provides opportunity for Commission review.

3.22.3 Long-Term Capacity Projects

As discussed in Section III.5.3, the Demand Capacity Surcharge Mechanism will enable the Companies to recover the authorized revenue requirements for Long-Term

[128] *Id.*
[129] JP Section IV.3.22.2.

Capital Capacity projects as the projects are placed in service. The JP affords a high degree of transparency and review prior to the recovery of costs for the Long-Term Capital Capacity Projects. At the same time, the Companies' ability to recover costs of Long-Term Capital Capacity Projects when substantiated through the process established under the JP ensures that the Companies will be permitted to recover the costs of the projects in a timely manner. This result is consistent with the public interest and properly balances the interest of the Companies and their customers.

3.22.4 Operation of the Mechanism

The JP provides for the new Demand Capacity Surcharge Mechanism to be included in the DRA, supported by a statement setting forth the costs being collected and their relationship to specific Long-Term Capital Capacity Projects,[130] and allocated among each Company's service classifications.[131] The first Demand Capacity Surcharge Mechanism statement will be filed to become effective 90 days after the issuance of a Commission order adopting the terms of the JP, to be recovered through June 30, 2022. For subsequent years until the Commission next sets base rates, the Demand Capacity Surcharge Mechanism will be filed to become effective on July 1, to be recovered over a twelve-month period ending June 30.[132] This provision represents a reasonable approach that will permit the Companies to recover their costs in a timely manner.

[130] An example of the Demand Capacity Surcharge Mechanism is set forth in the JP, at Appendix 6, Schedule 11 for KEDNY and Appendix 7, Schedule 11 for KEDLI.
[131] *Id*.; JP Section IV.3.22.4.
[132] *Id*.

3.23 Next Base Rate Filing

3.23.1 Sales and Revenue Forecast

As discussed in Section IV.3.1, the Companies and Staff had different methodologies to normalizing historic data for their respective Ogive analyses. Prior to their next base rate filings, the Companies will meet with Staff to discuss potential options for developing a methodology to normalize data prior to commencing the ogive process.

3.23.2 Embedded Cost of Service

As noted above, UIU proposed that the Companies classify distribution main costs as 100 percent demand-related, as opposed to part demand-related and part customer-related. In their next base rate filings, the Companies will submit for informational purposes ECOSS that classify distribution main costs as 100 percent demand-related as part of their response to pre-filing information requests to the active parties to these proceedings. The Companies will not be required to use the results of those studies for any purpose. This provision should be adopted as part of the overall compromise concerning revenue allocation issues reflected in the JP.

4. Computation and Disposition of Excess Earnings

The JP proposes earnings sharing mechanisms under which the Companies will share with customers earnings, if any,[133] above pre-established thresholds. The earnings sharing thresholds are as follows:[134]

[133] The Companies face a considerable challenge under the proposed rates to earn the authorized ROEs. Excess earnings are highly unlikely.
[134] JP Section IV.4.3.

Customer/Shareholder	Earned ROE
50%/50%	> 9.3% and ≤ 9.8%
75%/25%	> 9.8% and ≤ 10.3%
90%/10%	> 10.3%

The JP further proposes that the Companies will use 50 percent of their share of any earnings in excess of 9.8 percent to reduce their regulatory asset balances associated with Site Investigation and Remediation ("SIR") activities.[135]

Earnings sharing mechanisms benefit customers because they provide financial benefits in the event that the Companies are able to achieve earnings in excess of forecast levels. At the same time, such mechanisms encourage the Companies to achieve efficiencies that produce excess earnings. Such efficiencies, if obtained, would likely enable the Companies to reduce the size of future rate increases. Moreover, the Companies' agreement to use a portion of future excess earnings to reduce SIR cost deferral balances provides an incremental benefit to customers that was sought by PULP – a non-objecting party – in past proceedings.[136] The tiered Earning Sharing Mechanism thresholds are consistent with those included in other rate plans adopted by the Commission in the 2020 Con Edison Rate Order[137] and the 2019 O&R Rate Order.[138] The JP's earnings sharing provisions strike a balance among the interests of customers and investors that is in the public interest and should be adopted by the Commission.

[135] *Id.*
[136] *See* Case 16-G-0058, Public Utility Law Project of New York, Inc. Initial Statement Opposing Elements Of The Joint Proposal dated September 16, 2016 at 24 (advocating use of all excess earnings to pay down SIR costs).
[137] 2020 Con Edison Rate Order at 28-29.
[138] 2019 O&R Rate Order at 28.

5. Capital Investment Levels and Operations & Maintenance ("O&M")

5.1 Commitment to Non-Pipe Alternatives ("NPAs")

The JP provides that, where possible, the Companies will incorporate evaluations of NPAs as a standard item before proceeding with new or replacement transmission and distribution projects subject to certain exceptions for compliance requirements and emergencies. Several parties, including the Companies, generally advocated for the development and incorporation of NPAs into the Companies' capital portfolio and planning process in their testimonies.[139] Inclusion of NPA evaluations in capital development, where possible, will allow the Companies to assess alternative investments and solutions that may delay, reduce, or eliminate the need for traditional capital investments or projects and replace them with projects specifically targeted to reduce gas demand and promote the CLCPA and other energy and policy goals. Notwithstanding, the exceptions will provide the Companies with the flexibility to proceed with projects that are needed to support the safe and reliable operation of their systems in the near-term. This provision is reasonable and should be adopted because it balances the need to incorporate and advance environmental and policy objectives into the capital development process while also ensuring that customers continue to receive the service levels required by the Commission's regulations.

5.2 Capital Investment Levels

In its second supplemental testimony, KEDNY requested total direct and indirect investments in capital programs of $904,756,971 for Rate Year One, $1,036,985,373 for

[139] *See, e.g.*, Tr. 615-616, Tr. 5726-28, Tr. 5741, Tr. 33.

Rate Year Two, and $1,039,234,144 for Rate Year Three. Ex. 369, Schedule 1, Page 2 of 2. KEDLI requested total direct and indirect investment of $603,480,044 in its capital programs for Rate Year One, $607,166,012 for Rate Year Two, and $578,581,973 for Rate Year Three.[140] *Id.*, Schedule 2, Page 2 of 2. The supplemental testimony of the DPS Staff Gas Infrastructure and Operations Panel ("SGIOP") recommended total direct and indirect investments of $832,192,353 and $516,836,435 for KEDNY and KEDLI's capital programs in Rate Year One, respectively. Ex. 526, Pages 3 and 7 of 7. Testimony was received from other parties commenting on the overall size of the Companies' proposed investment levels and certain programs and projects.[141] Although the other parties generally agreed with the need to make capital investments in the Companies' systems for various reasons, certain parties raised issues with a limited subset of the programs and projects proposed based on their specific concerns.

The JP provides total direct and indirect investments in capital programs for KEDNY of $582,513,865 in Rate Year One, $743,397,383 in Rate Year Two, and $684,401,111 in Rate Year Three. For KEDLI, the JP provides total direct and indirect investment in capital programs of $368,539,297 in Rate Year One, $491,979,281 in Rate Year Two, and $447,123,548 in Rate Year Three.[142]

The capital expenditure levels in the JP, which represent a careful compromise that considered the scope, need, and benefits of these projects and programs, were refined over two years of testimony, discovery, hearings, and discussions. The capital levels will allow

[140] These totals are exclusive of the costs for items proposed to be recovered through the GSRS or projects and programs funded with the NRA deferral.
[141] *See e.g.*, Direct Testimony of New York City Gas Infrastructure and Safety Panel, Tr. 5417-54; and Direct Testimony of Sane Energy Project, Tr. 5675-5676, 5679.
[142] The capital investment levels recommended for KEDNY and KEDLI include cost of removal.

the Companies to update and modernize their gas infrastructure, comply with federal and state mandates and policy changes, and maintain safe and adequate service to customers while also moderating the customer bill impacts of those investments over the term of the rate plans. The JP achieves a reasonable balance between these objectives and will ultimately provide enhanced safety and reliability and therefore should be adopted.

5.3 Long-Term Capital Capacity Projects

The JP includes provisions that address new on-system capacity projects. These provisions represent unprecedented commitments designed to ensure that new capacity infrastructure will only be constructed when it is clearly the best alternative.

In Case 19-G-0678, the Commission approved a settlement agreement wherein the Companies agreed to identify potential solutions for addressing a gap between the Companies' supply of natural gas and the forecast of firm demands of customers. [143] As part of a portfolio of solutions to meet peak demand, the Companies have identified opportunities to implement non-infrastructure solutions including incremental demand response and energy efficiency programs. The Companies have also developed certain Long-Term Capital Capacity Projects to address the supply/demand gap and are considering the need for other projects. These projects, which include on-system investments that leverage existing infrastructure in constrained areas, are identified in Section IV.5.3 of the JP.[144] In this case, DPS Staff and other parties conducted a comprehensive review of the Companies' capital spending programs, including the Long-

[143] Case 19-G-0678 Order.
[144] The projects include portable Compressed Natural Gas ("CNG") projects, various Liquefied Natural Gas ("LNG") projects at the Companies' existing LNG facilities and other distribution infrastructure.

Term Capital Capacity Projects. During discovery, the Companies presented hundreds of pages of testimony and exhibits and responded to nearly four hundred discovery requests concerning their infrastructure, operations, and safety programs, including numerous requests regarding their capital spending plans. Notwithstanding the significant review already conducted, the Companies have agreed to submit the Long-Term Capital Capacity Projects to an additional, independent assessment to validate the need for meeting long-term demand. The review process will allow for additional stakeholder/public review and comment, which will be considered as part of the assessment.

Under the JP, DPS Staff will select a qualified, independent consultant (working at the direction of DPS Staff) to assess all but three of the Companies' Long-Term Capital Capacity Projects.[145] The independent consultant will consider (i) the Companies' need for the project to meet a reasonable forecast of customers' peak demand, based on the Companies' most recent forecast available; (ii) any safety and/or reliability benefits from the project; (iii) viable alternatives to the project that would ensure reliable service; (iv) the All-In Cost of the project and a comparison of the All-In Cost of viable alternatives; (v) the GHG emissions attributable to the project and any viable alternatives; and (vi) any comments and analysis submitted by intervening parties and the public. The Companies will not be permitted to recover the costs of any Long-Term Capital Capacity Project in these proceedings to the extent the independent consultant determines that such project is not needed at the time proposed by the Companies.[146]

[145] The three exceptions are for the Glenwood CNG Injection Facility Upgrade, the Barrett CNG Off Loading Facility and Inwood CNG Off Loading Facility, which were either placed in service or under construction in Rate Year One.

[146] JP Section IV.5.3. If the independent consultant rejects a project, the Companies may seek recovery of the costs of such projects in future proceedings on the basis of changed circumstances or any other basis permitted under the Public Service Law.

The process for recovering the costs of Long-Term Capital Capacity Projects set forth in the JP far exceeds the process that is normally followed with respect to the recovery of the costs of capital projects in utility rate proceedings and is responsive to concerns raised by parties concerning the need for new gas supply-related infrastructure. In past rate proceedings, DPS Staff and other parties have reviewed the Company's proposed capital spending plans and supported the establishment of rates that permit a utility to complete the projects determined to be reasonable. In this case, the Companies support this additional layer of review and stakeholder engagement because they appreciate the need for transparency and public input on these important projects.

5.3.1 Metropolitan Reliability Infrastructure ("MRI") Project Phase 5 – KEDNY Only

In the 2016 KEDNY and KEDLI Rate Cases, the Commission reviewed the then-estimated capital costs of the MRI project through CY 2020 and adopted a joint proposal that authorized the recovery of the costs of the MRI project as part of the Company's capital portfolio.[147] In the direct testimony of KEDNY's Gas Infrastructure and Operations Panel in those cases, the Company explained that the MRI Project would reinforce the backbone of the Brooklyn gas system with the installation of a 30-inch transmission main, increasing system circulation and reliability and providing additional operational flexibility and other benefits.[148] After undergoing thorough review in those cases, DPS Staff supported the MRI Project and the Joint Proposal adopted by the Commission in Case 16-G-0058 *et al.* authorized funding for the project of more than $220 million through calendar year 2020

[147] *See* Tr. 4280-82 and 2016 Joint Proposal, Appendix 1, Schedule 5, Page 1 of 1.
[148] *See* Case 16-G-0058 *et al.*, Testimony of KEDNY Gas Infrastructure and Operations Panel at 86-88.

as part of KEDNY's capital investment plan, with the bulk of the project forecast to be placed in-service by late 2020.[149] Construction on the initial three phases commenced in 2017 and was completed in 2019.

Consistent with the project funding approved in the 2016 KEDNY and KEDLI Rate Cases, KEDNY updated its capital forecast in this case to reflect the remaining MRI work to be completed during the rate years, including work on Phase 5. In testimony and numerous discovery responses, KEDNY again explained why the MRI Project *in its entirety* is necessary for maintaining safe and reliable service to customers in downstate New York. *See e.g.*, Exhibit 735 (IR DPS-1091).

The MRI Project is a reliability project that will improve the circulation and reliability of the existing transmission system. *Id.* at page 9 of 12. Project benefits include reduced risk of system outages, enhanced inspection and testing capabilities on the transmission system, the elimination of LPP, and reduced average operating pressures. *Id.* at page 10 of 12. As a phased project, MRI will only provide the fully intended operational, safety, integrity, and reliability benefits when all phases are completed. *Id.* at pages 9-12 of 12. The main portion of the project, Phases 1 through 4, involved the installation of approximately 33,100 feet of transmission main to provide an operational loop on the Brooklyn Backbone. Tr. 4281. In its corrections and updates testimony, KEDNY explained that it was accelerating the project schedule to ensure a fall 2020 in-service date. Tr. 4371. In the second supplemental testimony of the Gas Infrastructure and Operations

[149] Specifically, the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Cases authorized rate recovery of capital spending levels for the MRI project of $46.819 million, $61.692 million, $56.721 million, and $54.050 million in CY 2017, CY 2018, CY 2091, and CY 2020, respectively. *See* 2016 Joint Proposal, Appendix 1, Schedule 5, Page 1 of 1.

Panel, with the restrictions on new service connections lifted, KEDNY again explained the need to accelerate MRI "to provide the hydraulic system support that is critical for enabling new customer connections over the next few winters." Tr. 4567.

Throughout this proceeding, DPS Staff has been supportive of MRI and its benefits to the system. In fact, in their supplemental testimony filed on January 29, 2020, the SGIOP supported the Company's proposed acceleration of the project timelines. Tr. 4725. For the first time in their reply brief, filed on April 21, 2020, DPS Staff asserted that, while still supporting Phase 4 based on the safety and reliability benefits, the Commission should consider pausing Phase 5 pending the outcome of the long-term planning process. DPS Staff's reply brief states:

> KEDNY has already spent $200 million on Phases 1 through 3 of the MRI project. At present, the completed portions can be used as a very expensive distribution main. Fully completing Phases 1 through 4 will provide real reliability and safety benefits to KEDNY's gas system, and thus to its customers. Additionally, the safety benefits accrue not just to customers but all residents of KEDNY's Brooklyn service territory. Accordingly, the Commission should allow KEDNY to complete Phases 1 through 4 of the MRI project. To do otherwise would saddle KEDNY, and its customers, with a large investment that would not provide any reliability benefits, and at best function as an oversized distribution main.[150]

When this proceeding extended into the Rate Year One, KEDNY prudently proceeded with the capital investment programs it deemed necessary to provide safe and reliable service– including LPP replacements, safety programs, system reinforcements, and reliability projects. Under the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Case, KEDNY has the flexibility to substitute, change, or modify capital projects during the rate plan and into calendar year 2020 based on the Company's assessment of

[150] *See* Staff Reply Brief at 36-37.

system need and other operational considerations.[151] As recognized by DPS Staff, Phase 4 was considered a critical component of the project because it connected MRI to the Brooklyn Backbone, which enabled the bulk of the project's reliability benefits. Phase 4 was identified in the Companies' Supplemental Long-Term Capacity Report as a key element of the distribution infrastructure approach for addressing long-term demand, with an in-service date for the project of Winter 2020/21.[152] Having secured all necessary construction permits and authorizations, and operating under the terms of a Commission-approved rate plan that expressly contemplates the construction of MRI in CY 2020 and provides the flexibility to adjust capital project timelines depending on operational considerations, the Company prudently proceeded with the construction of Phase 4[153] to maintain safe and reliable service.[154] With the benefit of an exhaustive review conducted over two rate proceedings, and consistent with prior the funding authorized in the 2016 KEDNY and KEDLI Rate Case, the Signatories Parties to the JP in these proceedings

[151] *See* 2016 Joint Proposal, Section IV.5.1 ("Appendix 1, Schedule 5 sets forth KEDNY's forecast level of capital investment by program for each Rate Year, as well as CY 20. Notwithstanding the specified segment-level spending amounts, nothing in this Joint Proposal is intended to limit KEDNY's flexibility during the term of the KEDNY Rate Plan to substitute, change, or modify its capital projects.").

[152] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, *Natural Gas Long-Term Capacity Supplemental Report* (filed May 8, 2020), at 48, 88 ("Long-Term Supplemental Report").

[153] The construction of Phase 4 included approximately 1,400 feet of main associated with Phase 5 that was placed in service in October 2020 prior to the pause in construction of Phase 5.

[154] A utility's managerial decisions about how to invest capital funds are presumed prudent under New York law. *See e.g.*, *National Fuel Gas Distribution Corp. v. Public Service Commission*, 16 N.Y.3d 360, 369 (2011); *Long Island Lighting Co. v. Public Service Commission*, 134 A.D.2d 135, 143-144 (3rd Dept. 1987). To the extent a party brings forth evidence challenging the prudence of a particular investment, however, the utility bears the burden of demonstrating that its actions were prudent.

included Phase 4 in the portfolio of capital investments underlying the proposed revenue requirements.[155]

Having constructed the main portions of the MRI project, in fall of 2020, KEDNY voluntarily paused construction on Phase 5 in response to the significant feedback from intervening parties and other commentators in opposition to the project. The JP memorializes that pause by removing the project from KEDNY's capital portfolio and setting forth the Companies' agreement not to perform any additional work on the project until expressly approved by the Commission. If at some point in the future KEDNY decides to pursue MRI Phase 5, the JP provides that KEDNY shall first file a petition with the Commission seeking approval to recover the costs of the project. The petition must be supported by justification as to why the project is needed and must include a report from the independent consultant (as described above).[156]

Although MRI Project Phase 5 would provide additional and needed reliability benefits to a constrained area of the gas network,[157] the JP requires KEDNY to engage with regulators and other stakeholders to assess the then-current system requirements and re-evaluate the need for this project going forward. If KEDNY determines this project is necessary to maintain the safe and reliable operation of the gas network, it will present that analysis to the Commission and allow for public comment and feedback. In the meantime, KEDNY will continue to expand and enhance non-infrastructure, energy efficiency and,

[155] *See* JP, Appendix 1, Schedule 5, Page 2 of 2.
[156] JP Section IV.5.3.1.
[157] Long-Term Supplemental Report, at 48.

demand response programs and explore new solutions to delay or avoid the need for Phase 5.[158]

5.3.2 Capacity Demand Metrics

The JP includes a set of metrics intended to ensure that the Companies are taking "aggressive actions" to promote non-infrastructure solutions and seeking to offset the need for additional gas supply infrastructure through non-traditional solutions.[159] As discussed below, the Companies performance against these metrics will determine their ability to recover the costs of necessary infrastructure projects. The specific metrics include:

- Energy Efficiency – The Companies must meet the energy savings targets established by the Commission in the NE:NY Proceeding.
- Demand Response – The Companies must achieve annual targets for potential peak demand reduction from customers participating in the Demand Response Programs, which will be escalated by ten percent for each year of the rate plans.
- Non-Pipes/Third Party Solutions – The Companies must annually issue at least one request-for-proposal ("RFP") seeking non-traditional, cost effective peak supply alternatives and report on the results to the Commission.
- Electrification – The Companies will collaborate with the downstate New York electric utilities regarding prospective customers who are potential candidates for electrification and refer a minimum number of prospective customers to determine interest in electrification.

[158] *See e.g.* JP Section IV.3.22 and V.3.
[159] NE:NY Order at 1 ("Energy efficiency and building electrification programs play a key role in the achievement of New York State's clean energy goals.").

- Leak-Prone Pipe – NPAs – The Companies will annually identify at least five segments of LPP in each of the Companies' service territories that could be abandoned if all customers' natural gas loads are met with cost-effective NPAs that would allow the section of LPP to be abandoned.

5.3.3 Cost Recovery Through The Demand Capacity Surcharge Mechanism

The JP provides that the Companies will be permitted to defer and recover the pre-tax weighted average cost of capital and depreciation expense associated with each of the Long-Term Capital Capacity Projects only to the extent they achieve the performance targets in the Capacity Demand Metrics. Failure to meet one or more metrics during a given Rate Year will reduce their ability to recover revenue requirements between 15-100 percent depending on the number of metrics missed.

Together with the independent assessment discussed above, this unprecedented cost recovery mechanism will ensure that additional supply-related infrastructure will only be built if it is the most economically viable alternative at the time it is constructed, and the Companies will only be permitted to recover the costs associated with these projects during the term of the rate plans to the extent the Companies are otherwise successful in meeting Commission-established targets for activities that ultimately will reduce demand for gas. The establishment of this rate mechanism is clearly a benefit of the JP that will further the State's environmental goals and would likely be impossible to obtain through litigation. By itself, the inclusion of this ratemaking mechanism for recovering the costs of new Long-Term Capital Capacity Projects provides a compelling basis for the Commission to approve the JP.

5.3.4 Continuation of the Demand Capacity Surcharge Mechanism

The JP provides that the Long-Term Capital Capacity Projects portion of the Demand Capacity Surcharge Mechanism will remain in effect, provided the Companies continue to meet the targets for the Capacity Demand Metrics, until the Companies' base rates are next set by the Commission.

5.3.5 Reporting Requirements

To provide the Commission and other interested parties with visibility to the Companies' performance, the Companies will file quarterly reports containing updated demand response forecasts, actions to implement energy efficiency and demand response programs and the status of the Companies' performance under the Capacity Demand Metrics. These reports will be filed no later than thirty days after the end of each calendar year quarter.

5.4 Use of NRA Balances to Fund Certain Programs

The JP provides for the use of the Companies' existing Negative Revenue Adjustment ("NRA")[160] balances to fund the following programs: (i) the Expanded Residential Methane Detection ("RMD") Program, and (ii) the Instrumentation and Regulation ("I&R") Control Line Survey and GPS Mapping program. These gas safety programs were originally proposed in the Companies' direct testimony for inclusion in base rates; however, the Companies indicated they would support funding the programs through NRAs to mitigate the rate request. Tr. 3717, 3731-32, 3746-47. The DPS Staff Pipeline Safety Panel ("SPSP") supported the programs, but believed they should be funded through

[160] The NRAs are incurred, *inter alia*, when the Companies do not achieve performance targets under their Gas Safety Metrics.

NRAs. Tr. 4098-99. New York City's Gas Infrastructure and Safety Panel conceptually supported the Enhanced RMD Program and advocated for certain program enhancements, such as company installation and enhanced tracking, but opposed the use of NRA dollars for gas safety programs. Tr. 5418, 5443-48, 5486-87. Funding these programs through the NRAs is reasonable and will deliver their intended gas safety benefits to customers and communities served, including New York City, during the term of the rate plans without collecting the associated costs through base rates and increasing customer bill impacts.

5.5 Capitalization Changes

In direct testimony, the Companies proposed to change their accounting practice of expensing segments of main under 50 feet in length to capitalizing those segments as applicable accounting principles and regulations allow for the capitalization of those segments without a minimum footage threshold. Tr. 4327, 4468. The proposal would capitalize all main installation activities in accordance with applicable sections of the FERC Chart of Accounts and standardize the accounting treatment for these work activities between National Grid's New York gas distribution companies. *Id.* The SGIOP supported this change as reasonable, noting the alignment with National Grid's other New York gas companies and that the change would reduce the Companies' operation and maintenance budget and revenue requirement, if implemented. Tr. 4687. The JP adopts the Companies' proposal without modification.

5.6 Capital Reporting

Under the JP, the Companies are required to file several quarterly and annual reports containing information regarding the Companies' capital expenditures, variance explanations, LPP prioritization summaries, Type 3 leak and leak inventories, capital

project and planning information, and the approved five-year capital plan in the format of GIOP-1. The quarterly reports will be filed within 45 days after the end of each calendar year quarter and the annual report will be filed no later than 60 days after the last quarter of each rate year. Annual LPP prioritization and Type 3 leak reports are to be filed prior to Rate Year Two and Rate Year Three. These reporting requirements are consistent with the reports currently provided in accordance with the 2016 KEDNY and KEDLI Rate Order and will provide the Commission and other parties with visibility into the Companies' capital performance and projects throughout the rate plan.

5.7 Low Pressure Main Valve Installations

In their filings in these proceedings, the Companies proposed the Low Pressure Main Valve Installation Program as an additional gas safety program to install shut-off valves on low pressure main to improve the overall safety of low pressure systems and assist with more effective emergency response. Tr. 3739-40. The SPSP supported the program, but believed it should be removed from base rates and funded through NRAs. Tr. 4088-89, 4665. The Companies disagreed with the proposal to use NRA funding in rebuttal, noting that this was an ongoing, incremental safety program with long-term benefits to customers and required investments in the future. Tr. 3827. Accordingly, based on its costs and continuing nature, the Companies asserted that the program should be funded through rates, and NRAs should be reserved for shorter-term programs that do not require ongoing expenditures. *Id.*

The JP provides for low pressure main valve installation budgets of $1.8 million in Rate Year One, $5.0 million in Rate Year Two, and $6.7 million in Rate Year Three for KEDNY. For KEDLI, the JP provides for $0.037 million, $0.8 million, and $1.3 million

in Rate Year One, Rate Year Two, and Rate Year Three, respectively. The Companies are required to file an analysis with the Commission, no later than December 31, 2021, to determinize where the low pressure main valves will be installed based on criteria enumerated in the JP, including potential methane emissions and locational safety. The proposal provides funding for this important safety program while also ensuring that the Companies are focused on targeting main that presents the greatest safety and emissions risks and providing the Commission and interested parties with transparency into the locations selected and the forecast cost of the program. These provisions represent a reasonable compromise of competing positions that produce a result that is in the public interest.

5.8 Service Line Proceeding

The JP provides that the Companies will file procedures for imposing financial penalties on customers who do not permit Commission-mandated inside service line inspections. The JP also requires that the amounts recovered through assessment of the fees be used to offset the costs of service line inspections. This provision is reasonable and within the public interest as it will further put customers on notice of the requirement to provide access for these important safety inspections and the actions the Companies will take to ensure the inspections are completed as required by the Commission in its April 2017 order in Case 15-G-0244.[161] Additionally, application of the penalty proceeds to the costs of the program will help to offset the costs of duplicative attempts to access a

[161] Case 15-G-0244, Proceeding on Motion of the Commission to Develop Implementation Protocols for Complying with Inspection Requirements Pertaining to Gas Service Lines Inside Buildings, *Order Establishing Statewide Inspection Schedules and Procedural Requirements* (April 20, 2017).

customer's premises, thereby reducing some of the program costs that would otherwise be assessed to other customers.

5.9 Research and Development

The SPSP recommended that the Companies use unspent research and development funding to deploy advanced RMD technologies and that the Commission direct the Companies to submit plans for the deployment of such technologies within ninety days of a Commission order setting rates in this proceeding. Tr. 4100. In rebuttal, the Companies supported the advancement and improvement of RMD technologies and did not object to DPS Staff's funding or reporting proposals. Tr. 3828-29. The JP adopts the SPSP's recommendations without modification and will provide for the continued advancement of these gas safety technologies during the rate plan.

5.10 Local Law 152

Local Law 152 ("LL152") is a New York City Council law that requires building owners in New York City to conduct inspections including atmospheric corrosion and leak surveys of the natural gas piping inside buildings, including the same segments that the Companies are required to inspect pursuant to the inside service line definition change in Case 15-G-0244. Tr. 4104. Prior to issuance of the proposed rules, the Companies worked extensively with Con Edison, the Northeast Gas Association, and the New York City Department of Buildings ("NYC DOB") to provide guidance and information on how coordination could be achieved, but ultimately when the NYC DOB issued its proposed rules in November 2018, the rules were not written in a manner that would allow for coordination of inspections to meet both the utilities and LL152 requirements. Tr. 3833.

The SPSP made three recommendations regarding LL152: (i) that the Companies continue to coordinate with the NYC DOB to encourage modifications to the rule that would enable coordinated inspections; (ii) if the rules are issued without modification, that the Companies file a plan within 60 days of the issuance of the NYC DOB's final rule or within 60 days of the Commission's Order in these proceedings detailing how the Companies will coordinate with building owners to encourage them to use plumbers qualified to perform the utility's inspections, including technology sharing and an educational campaign; and (iii) that the amounts the Companies can collect in rates should be a "placeholder" with a reconciliation to a new estimate once the final rules are issued. Tr. 4107-09. New York City took issue with DPS Staff's characterization of LL152's misalignment with applicable state and federal requirements and expressed concern with the impact that changes to LL152 inspection intervals would have on building owners; however, New York City indicated it was willing to discuss potential process improvements and data sharing elements with the Companies. Tr. 5385, 5389-92. In rebuttal, the Companies stated that they are willing to continue to work with NYC DOB to align LL152 with the utilities' service line inspection requirements – but do not agree with the SPSP's remaining recommendations due to the misalignment of the LL152 requirements with the Companies' obligation to independently conduct these inspections and the time it would take to develop a coordination plan in the event the NYC DOB changes the regulations to allow for such coordination. Tr. 3834-35.

In recognition of these ongoing challenges, the JP provides that, during the term of the rate plans, the Companies should conduct their service line inspections independently of any third-party inspections under LL152. Notwithstanding, the JP requires that the

Company consult with New York City regarding LL152 and file a petition with the Commission requesting a pilot program that would consider alternative re-inspection intervals and the ability of third parties to perform survey/inspection work on the Companies' behalf within ninety days of a Commission order adopting the JP. Given the interpretation and coordination issues experienced between the parties, and the timeframe needed to make any meaningful progress, the JP represents a reasonable compromise and path forward for this safety issue.

5.11 Residential Methane Detection Programs

Beginning in Rate Year Two, the JP provides that the Companies will annually file a report with the Commission outlining their RMD deployment strategies and costs incurred to date. This proposal is reasonable and in the public interest as it will provide transparency into the Companies' RMD efforts during the rate plans and is similar to the reporting provided for an RMD program approved in the 2017 Niagara Mohawk Rate Case.[162]

5.12 Relocation of Inside Gas Meters

Pursuant to the JP adopted in the 2016 KEDNY and KEDLI Rate Cases, in CY 2018, the Companies began to relocate gas meters located inside premises to outside the premises when replacing or relocating gas service lines as part of the LPP retirement program, except where (i) the customer refused permission to relocate the meter outside; (ii) local building codes or similar regulations prohibit outside meters; (iii) exterior or interior obstacles prevent meter relocation; or (iv) the gas meters should not be moved

[162] Case 17-G-0239, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Gas Service, *Residential Methane Detector Program Implementation* Plan (filed September 4, 2018), at 4.

outside for safety reasons. Tr. 3825-26. The SPSP recommended that the Companies continue to relocate inside meters to outside and expand their efforts to perform this work not only in coordination with the LPP replacement programs, but also whenever the Companies perform service transfers or move an existing service line to a newly installed pipeline. Tr. 4110.

The Companies agree with the safety benefits of relocating meters from inside to outside as such relocation will facilitate required service work and inside service lines inspections. Tr. 3836-39. In rebuttal, however, KEDNY indicated that, at this time, it is not able to make specific commitments regarding relocating meters from inside to outside because of challenges associated with coordinating with the NYC DOB. *Id.* NYC DOB's requirements are varied and complex; some examples include: three-pound pressure testing beyond the installation to the entire premises that could compromise internal piping that otherwise operates safely at lower usage pressures, particularly on older buildings common in New York City; multiple inspections by NYC DOB including a close out inspection such that the work could not be completed in one day and would require customers to be out of service multiple days or longer; and work could not be performed by KEDNY's crews, requiring additional resources to contract for master plumber services and coordination of KEDNY's service line replacement crews with additional plumber crews. Tr. 3837-38. Taken together, the Code requirements would prevent KEDNY from performing meter relocation work. Tr. 3838.

The JP continues the meter relocation efforts initiated in the 2016 KEDNY and KEDLI Rate Cases and expands meter relocations to other activities, such as new service installations, where such work can feasibly be performed. Based on discussions between

the parties, the list of exceptions to the relocation requirement was expanded to provide the following: (i) where the customer refuses to provide consent to such relocation; (ii) where local building codes, regulations, or authorities preclude such relocations; (iii) where exterior or interior obstacles, space constraints, or physical barriers preclude such relocations; (iv) when the work involved is an emergency service line repair or replacement; (v) where relocation requires extensive interior or exterior restoration and/or complicated interior piping work that would involve excessive costs or present increased operational risks for the Company and/or customer; or (vi) where the gas meter should not be moved outside for safety reasons. The expanded exceptions allow for consideration of the issues currently experienced by the Companies in the field, such as the NYC DOB regulations and customer refusals, that prevent or impede meter relocation efforts. The JP also recommends that the Companies track and report on meter relocations by April 1st annually and develop a plan to address meters not in readily accessible locations to be filed in connection with their next rate proceedings. Finally, beginning in Rate Year Two, the Companies and DPS Staff agreed to use good faith efforts to meet with New York City to discuss and work towards resolution of this issue. Viewed in totality, this section of the JP will allow for continued progress in this area, for the benefit of customers and operational safety during the term of the rate plans, and potentially position the Companies for successful meter relocations in the future.

5.13 Pipeline Emergency Responders Initiatives and First Responder Training

In their initial filings, the Companies proposed programs and incremental full-time equivalents ("FTEs") to enhance first responder training and safety programs and align the programs with programs successfully implemented by Niagara Mohawk. Tr. 3744-46. The

SPSP generally supported the Companies' programs and further recommended that the Companies adopt the principles of the Pipeline Emergency Responders Initiative ("PERI"), conduct regular drills with local fire departments and municipalities, and provide an annual report detailing its progress on those drills. Tr. 4096-98. The JP provides for the adoption of the PERI principles, with regular drills with local fire department and municipalities, and implementation of the enhanced First Responder Training Program beginning in Rate Year Two. The Companies are also required to provide detailed annual reports on their progress in this area within ninety days of the end of each rate year. Adoption of this provision is reasonable as it will benefit the customers and communities served by improving emergency response and gas safety performance.

5.14 City State Construction ("CSC") Program

The CSC program involves the relocation and/or protection of gas facilities that conflict with municipal public works projects. Tr. 4247, 4441. This program is reactive and entirely driven by municipal work impacting the Companies' facilities. Tr. 4271, 4441. In its testimony, New York City alleged certain challenges with the administration of the CSC program and a lack of progress in the last few years to resolve known issues, such as invoicing. Tr. 5523-27. The Companies acknowledge that there is room to improve in this area and are willing to work with New York City on coordination, but believe there are process improvement opportunities on both sides. Tr. 4534-35. To that end, to improve communication and cost reimbursement issues historically experienced in connection with the CSC Program,[163] the JP provides that the Companies appoint a management-level

[163] Reconciliation of the CSC Program is addressed in Section IV.8.1.13 of the JP, as discussed below in Section III.A.8.1.

contact to improve coordination with New York City and seek to hold at least one meeting with New York City in each quarter in Rate Year Two and Rate Year Three.

5.15 Green Infrastructure Efforts

New York City expressed general concerns that the Companies' construction work is performed without adequate consideration of New York City's Green Infrastructure Assets and recommended that the Companies: (i) install their facilities six feet from the curb rather than three feet; (ii) provide notice to New York City agencies prior to street openings; and (iii) attend additional training related to the Green Infrastructure Assets. Tr. 5455-58. In rebuttal, the Companies expressed a willingness to coordinate with New York City on this issue but could not to commit to a standard six-foot clearance for installations based on various factors that may affect the location of facilities (*e.g.*, work type, right-of-way positioning, the location of other utilities, and compliance with permit stipulations and municipal code requirements). Tr. 4556-57. Although New York City is not a Signatory Party, in the JP, the Companies have agreed to work with New York City on a process to address their concerns regarding green infrastructure assets and, where possible, endeavor to install infrastructure with consideration to the future implementation of such assets.

5.16 LPP Algorithm

The JP continues KEDNY's existing risk-based prioritization algorithm to identify and rank segments of LPP for removal from service. This algorithm takes into consideration methane emission flow rate data (*i.e.*, the volume of methane emissions released over time) as a prioritization factor when reviewing and ranking LPP segments for removal, and, where pipe segments have equal risk rankings, gives priority to LPP segments located in designated flood zones.

Continued use of this algorithm is beneficial to KEDNY, customers, and the general public because the review and ranking process prioritizes removal of the LPP segments that present the greatest risk to the public. Further, removal of these segments will not only reduce the risk presented by these facilities, especially in flood zone areas where external factors can have a more pronounced impact on the facilities' performance, but will also target segments with higher methane emissions furthering environmental objectives of the Companies and New York State.

5.17 Enhanced High Emitter Methane Detection Program

The Companies proposed an incremental O&M program to deploy a car mounted with cavity ring-down spectroscopy ("CRDS") technology to prioritize repair of high emission leaks in high leak concentration areas in their direct testimony. Tr. 3748-49.

The SPSP supported the Companies' proposal but characterized the program as a pilot and recommended that it be funded using the Companies' NRA balance. Tr. 4115-17. The SPSP also suggested that the program should be incorporated into the Companies' research and development program (Tr. 4117); however, a complete review of the research and development budget had not been completed to determine if there was available funding. Tr. 4192. EDF recommended that the program be expanded to incorporate a complete emissions survey of both Companies' entire service territories. Tr. 5608.

In rebuttal, the Companies indicated that the proposal was not for a pilot program, but rather for an ongoing program funded in base rates. Tr. 3830-31. The program is intended to supplement the Companies' leak management program and help the Companies prioritize repair of high emitting leaks in areas known to have a high leak concentration. *Id.* Further, while the Companies do not believe that expanded deployment of the CRDS

technology is appropriate at this time, they indicated that they would be willing to continue to work with EDF on the advancement and evaluation of this technology. Tr. 3831.

The JP provides for deployment of this program through funding in base rates. Under the JP, the Companies will develop a program to target leaks of ten standard cubic feet per hour or greater for repair or replacement to reduce methane emissions from the distribution system and prevent lost gas, as further outlined Appendix 9. The Companies will hire a contractor to aid in prioritizing high emitting leaks for repair and begin the advanced leak surveying within twelve months of issuance of a Commission order adopting the JP. This program is reasonable and in the public interest as it will target high emitting leaks for removal from the Companies' systems, thereby reducing methane emissions, improving system performance, and enhancing public safety.

5.18 Leak Detection Pilot Program

The JP provides that the Companies will continue their collaboration with EDF on programs to deploy advanced leak technology for potential future use. Based on the success of prior collaborations, the Companies have been able to test and integrate advanced leak technology into their suite of tools to combat methane emissions, such as the Enhance High Emitter Methane Detection Program discussed above. Continued deployment will allow the Companies to evaluate and improve the reliability of these technologies and position the Companies to deploy new and emerging leak detection technologies, once approved, to supplement and/or replace existing leak detection programs, as may be appropriate.

5.19 Buried Vent Lines

The Companies proposed a proactive capital program to address and mitigate systematically the risk of buried vent lines, which are more susceptible to corrosion, damage, and other safety issues, discovered through the inside meter inspection program. Tr. 3738-39. The SPSP testimony recommended removal of the program from the Companies' capital plans, alleging that the program should instead be funded by the Companies' shareholders because the SPSP believes the Companies should already have addressed buried vent lines. Tr. 4122-23. In rebuttal, the Companies pointed out that they have identified and addressed buried vent lines for years during the regular course of operations and maintenance; however, the work was done in connection with other programs, such as regulator inspections and meter changes, and measures for ensuring the safe operation of buried vent lines and performing corrective actions when necessary are included in the Companies' customer meter services procedures. Tr. 3826-27. Since the Companies began conducting inside service line inspections in 2017, the pace of identification of buried vent lines has increased such that the Companies need a distinct capital program with centralized funding through rates to facilitate timely remediation of these issues. *Id.*

The JP provides that shareholders will be responsible for the costs of this program during the term of the rate plans but does not preclude recovery of these program costs in future rate proceedings. The Companies will continue to address buried vent lines with higher risk during the rate plans with shareholder dollars and will consider resubmitting a program proposal in their next rate proceedings based on experience during the term of the rate plans.

5.20 Plastic Fusion Quality Assurance/Quality Control ("QA/QC") Re-digs Inspection Program

In their initial filings, the Companies proposed to expand their QA/QC re-dig programs to support adoption of API RP 1173, which involves conducting more QA/QC inspections, such as more on-site inspections of plastic fusions, as well as broadens the scope of the Companies' existing QA/QC programs for gas construction activities across additional programs executed by field operations and customer meter services, including leak management, corrosion, and damage prevention. Tr. 3733-34. The SGIOP recommended a downward adjustment to the capital forecast for this program, citing issues with the Companies' response to relevant discovery and generally indicating that the Companies' forecast included additional costs that the SGIOP did not believe to be justified. Tr. 4665-67. The Companies' rebuttal testimony explained that the SGIOP's proposal would remove the capital labor portion of the Companies' forecast, which is the portion required to enable the Companies to meet their regulatory obligations to conduct additional inspections of plastic fusions which the SGIOP agreed was an appropriate component of the costs. Tr. 4779-80.

The JP provides capital funding for the program Rate Year Two and Rate Year Three and recommends deferring commencement of the expanded QA/QC programs until Rate Year Two. The proposal will appropriately fund expansion of the re-digs inspection program which, in turn, will support adoption of API RP 1173 and provide enhanced safety benefits.

5.21 Construction Safety Inspections

The Companies proposed an Enhanced Contractor Safety Inspections Program wherein the Companies would hire incremental resources to increase the ratio of inspectors

to contractor crews to 1:1. Tr. 3723. The inspectors perform on-site inspections and oversight of contractor crews, including field verification of operator qualifications, jobsite and safe work practices, work methods and construction standards/procedure compliance, and work scope documentation to facilitate compliance with applicable regulations for the safety of field personnel, customers and communities, and the Companies' systems. Tr. 3723. The SPSP supported the Companies' proposed program enhancements, but recommended a five percent reduction to the proposed program FTEs to reflect "the estimated workload." Tr. 4117-19.

Under the JP, the Companies will defer the commencement of the Construction Safety Inspection Program until Rate Year Two. Additionally, during the term of the rate plans, the Companies will work towards a modified 1:1 and 1:2 inspector to contractor crew ratio depending upon the work being inspected, and work to ensure adequate levels of on-site inspections and oversight for all contractor crews, including field verification of operator qualifications, work methods and construction standards/procedures compliance, and work scope documentation. These proposals are reasonable and should be adopted by the Commission because they provide for compliance and safety enhancements to the Companies' existing inspection programs during the rate plans.

5.22 LNG Facility Upgrade

The JP provides that KEDLI will conduct engineering and design studies to upgrade its Holtsville LNG facility in Rate Year One and KEDNY conduct similar studies for the proposed upgrade of its Greenpoint LNG facility in Rate Year Two. The Companies would then be required to submit reports to the Commission regarding their plans to upgrade these facilities in Rate Year Two. In direct testimony, the Companies explained that these

upgrades were necessary as the facilities are critical components of the Companies' gas supply portfolios and, due to their age, require significant investment in the near-term to support continued safe and reliable service to customers. Tr. 4323, 4462. The SGIOP proposed application of generic slippage adjustments to these capital projects and recommended that the Companies file a reasonable proposal as to how they will address the required upgrades. Tr. 4681-82. Because the Companies maintain on-system supply through these facilities, cost recovery and the ability to pursue the projects during the rate plans is imperative. The JP is reasonable as it will provide for further clarity on the need for these projects, especially considering the removal of certain capacity projects during the pendency of these proceedings, without acting as a complete bar to recovery during the rate plan period, when the Companies believe the projects will need to be placed in service.

5.23 Inactive Accounts

Under their current inactive accounts process, the Companies act immediately to perform a site analysis on every site to determine whether conditions, such as a vacant premises or other observable unsafe condition, warrant immediately securing the line. Tr. 3824. In such instances, the service is cut within 24 hours. *Id.* Assuming there is not an urgent circumstance, the process is designed to resolve inactive accounts within 60 days. *Id.* In practice, however, 47 percent of KEDNY's inactive accounts and 89 percent of KEDLI's inactive accounts are resolved within the first 15 days, and only approximately five percent of KEDNY's and 1.6 percent of KEDLI's accounts remain inactive between days 45 and 60 of the current process. Tr. 3824-25. Notwithstanding, the Companies proposed to achieve a 30-day process over a two-year period in order to expedite the entire process. Tr. 3825. Additionally, over the past several years, the Companies have

discovered meters that are obstructed or inaccessible because of subsequent customer alterations or obstructions installed around the meter. *Id.* At the time of original installation, the Companies installed the meters in readily accessible locations (*i.e.*, locations not obstructed and able to be accessed to perform inspections and maintenance), regardless of whether the meter is physically located on the outside or inside of a customer's building. *Id.* The Companies' current practice is to advise customers of obstructions and access issues upon discovery. If required to resolve an imminent safety concern, the Companies would terminate service. *Id.*

The SPSP stated that inactive accounts should be addressed immediately and that the Companies should also address meters found not to be readily accessible. Tr. 4114-15. In rebuttal, the Companies' noted that, outside of imminent safety conditions, they have encountered several impediments that prevent or delay immediate removal of the obstructions, including customer refusals, local building codes and regulations, exterior or interior obstacles, and other various safety reasons, which are further compounded in New York City, where KEDNY has been unable to relocate any meters outside of the building because of code interpretation issues with the NYC DOB. Tr. 3825-26. Despite best efforts, these obstructions and impediments make "immediate and continuous" actions to remedy these conditions simply unachievable for reasons beyond the Companies' control. *Id.* The Companies acknowledged that improvements in this area will require the involvement of third parties, including municipalities, and invited affected stakeholders to provide comments and work with the Companies towards effective resolutions. *Id.*

The JP provides that the Companies will follow their existing inactive accounts process and requires that the Companies meet with DPS Staff and other interested parties

to discuss enhancements to the process within six months of the Commission's order adopting the terms of the JP. The Companies are permitted to defer up to $1.0 million each rate year to fund any agreed upon enhancements. Beginning in Rate Year Three, the Companies will also make informational filings with the Commission that will include certain information about the customers and accounts in the inactive accounts process and provide DPS Staff within information upon request. This approach is reasonable because, while the Companies believe their existing process safely and adequately addresses inactive accounts, it will facilitate continued discussion over the term of the rate plans regarding potential improvements, the costs of which may be deferred for future recovery. The reporting requirement will provide DPS Staff with insight into the process and data regarding the customers and accounts impacted by the program. The inactive account provisions in the JP provide additional safety benefits and should be adopted in their entirety.

5.24 Additional Safety Programs

Beginning in Rate Year Two, the JP provides that the Companies implement the following additional safety plans or plan enhancements: (i) Pipeline Safety Management and Damage Prevention Advisor Program; (ii) I&R Training and Test Lab; (iii) Gas Control Standard Operating Procedure Training; (iv) Field Evaluation Training; and (v) Plastic Fusion In Process Inspection Program. As outlined in the Companies' direct testimony, these programs provide a wide array of safety benefits – including increased damage prevention stakeholder management, enhanced I&R training, controls standardization, improved emergency response, and real-time feedback on inspections in the field. Tr. 3719-20, 3729-30; 3734-37, 3742-43, 3744-46. These programs were

reviewed in connection with these proceedings and the Signatory Parties concur with the Companies' implementation of the programs beginning in Rate Year Two.

6. Information Technology

6.1 Information Technology Capital Investment Level

The revenue requirements proposed in the JP include costs associated with Information Technology ("IT") capital investments that are owned by National Grid USA Service Company, Inc. ("Service Company") and allocated to the Companies in the form of rent expense, which includes the return on, and amortization or depreciation of, current IT capital investments as well as IT investments that are forecast for the Rate Years.[164] The JP provides for incremental IT capital investment of $150 million in each of the Rate Years.[165] These costs do not include costs associated with the Companies' proposed Gas Business Enablement ("GBE") program or the replacement of the Companies' Customer Information System ("CIS"), which are discussed more fully below.

The level of IT capital spending reflects a reasonable compromise of the positions advocated by the Companies and Staff.[166] Moreover, the level of IT capital investment reflected in the JP will permit the Companies to develop and advance IT projects that will enable the Companies to continue to provide safe, adequate and secure service by providing funding for the Companies' baseline technology, technology modernization, and cyber and physical security projects during the term of the rate plans.

[164] JP Section IV.6.1.
[165] *Id.*
[166] The record shows that the Companies proposed a level of Rate Year One IT capital investment of $243.846 million, while Staff proposed a Rate Year One level of $129.4 million. *See* Exhibit 280, Tr. 1019, Exhibit 519.

The levels of IT capital spending reflected in the proposed revenue requirements are within the range that would likely have resulted from a litigated proceeding and are otherwise reasonable. They should be adopted by the Commission.

6.2 Gas Business Enablement

The JP provides that the Companies will continue to implement the GBE Program, which is a shared investment across all National Grid USA operating companies that will be implemented and owned by Service Company, with a portion of the costs allocated to the Companies.[167] The GBE Program is intended to replace outdated systems while enabling the Companies to enhance the safety, reliability and efficiency of their gas distribution business.

For the purpose of determining the Companies' allocated share of GBE Program costs, the total Service Company costs of the GBE Program will be capped at $515.5 million.[168] In future rate proceedings, the Companies may seek recovery of costs in excess of this cap that are associated with incremental GBE Program investments as long as the incremental costs are justified by measurable incremental benefits.[169]

To ensure that customers receive tangible benefits from the GBE Program, the JP provides that the Companies will measure and report on six key performance indicators ("KPIs") that are intended to demonstrate successful delivery of the GBE Program

[167] JP Section IV.6.2.
[168] JP Section IV.6.2.1.
[169] *Id.*

capabilities.[170] At the end of FY 2024, the Companies will measure delivery of GBE Program capabilities based on performance across the FY 2024 KPI targets. To the extent that the Companies fail to meet the KPI targets, they will be required to record regulatory liabilities for their shares of GBE Program investment costs for enhanced capabilities beyond the replacement of existing systems.[171] The JP provides for quarterly reporting concerning the GBE Program as it proceeds.[172]

The provisions of the JP that address the GBE Program reflect a reasonable compromise of the evidentiary positions advanced by the Companies and Staff.[173] Moreover, it is unlikely that the GBE Program KPIs provided for under the JP would have been developed and implemented in a litigated proceeding. The provisions of the JP concerning the GBE Program are in the public interest and should be adopted in their entirety.

6.3 Customer Information System ("CIS")

The rates proposed in the JP reflect modest operating expenses in Rate Year One for a new CIS.[174] No other capital or operating expenses for a new CIS are reflected in the proposed rates.[175] The Companies may, however, file a petition during the term of the rate plans setting forth the CIS project and requesting authorization to defer CIS-related

[170] JP Section IV.6.2.3. The KPIs are (i) the average number of completed Customer Meter Services jobs per worker per day; (ii) the average feet of main replaced per Maintenance and Construction worker per day; (iii) work orders processed each year per each fulltime equivalent engineering clerical employee; (iv) total call volume related to customer moves and non-moves per year; (v) total number of gas safety non-compliance occurrences per year; and (vi) the Companies' customer experience (effort) rating based on customer surveys.
[171] *Id.*
[172] JP Section IV.6.2.4.
[173] *See, e.g.*, Tr. 989-90.
[174] JP Section IV.6.3. The record shows that the CIS will replace legacy systems that are over 30 years old for KEDNY and over 20 years old for KEDLI.
[175] *Id.*

development costs.[176] As part of any such petition, the Companies will identify the costs and benefits of certain CIS upgrades recommended by PULP to enable the Commission to determine whether the Companies should include such upgrades in the CIS project.[177]

These provisions of the JP reflect adoption of the positions espoused by Staff in the evidentiary record,[178] as well as the inclusion of provisions that respond to the concerns of PULP, a non-objecting party. The resolution of the CIS issues is clearly a reasonable compromise that should be adopted by the Commission.

6.4 Service Company Rents, IT and GBE Net Utility Plant and Depreciation Expense Reconciliation Mechanism

The JP provides for the establishment of a downward-only IT and GBE Net Utility Plant and Depreciation Expense Reconciliation Mechanism.[179] This mechanism will ensure that the Companies complete the IT investment program that is funded in the proposed revenue requirement while affording the Companies the flexibility to adjust various categories of IT investment as needed within the total amount. This mechanism addresses Staff's concerns about the Companies' ability to spend their proposed IT capital budgets and complete IT projects in a timely manner and ensures that customers will receive the benefit of the IT capital spending amounts included in rates. Agreement to this provision represents a significant concession by the Companies and provides further support for a finding that the JP as a whole is clearly in the public interest.

[176] *Id.*
[177] *Id.*
[178] Tr. 1452, Tr. 1021-22.
[179] JP Section IV.6.4.

6.5 IT Capital Budgeting and Reporting

The JP provides for a process for the Companies, Staff, and other interested parties to develop an annual and quarterly reporting process that will permit easy monitoring and understanding of any individual IT projects and enable full comprehension of the entire IT portfolio.[180] The collaborative process is intended to develop a modified reporting process that will provide greater transparency into the Companies' IT investments while avoiding placing an undue burden on the Companies to compile further information. The JP further provides that the Companies will meet with Staff on a semi-annual basis to (i) discuss budget and actual IT spending to date, (ii) provide an update on the status of ongoing projects, (iii) discuss proposed projects for the next six months, (iv) review quarterly filings, and (v) review the Companies' variance analyses for the top ten projects. This process should ensure greater understanding of the Companies' IT investments and will benefit all interested parties.

In addition, the JP further provides that the National Grid officer with responsibility for IT projects and services in whole or in part for National Grid's New York jurisdiction will be required to approve any newly proposed IT project before it can proceed.[181] Moreover, such officer, as well as any relevant sanctioning body must review project closure papers and include a summary of their review in the IT report for the last quarter of the year. Finally, the JP provides that within six months of a Commission order adopting the terms of the JP, the Companies will modify their IT sanctioning papers to include KPIs. These modifications, which would be difficult to implement outside the scope of a

[180] JP Section IV.6.5.
[181] JP Section IV.6.5.1.

negotiated settlement, are clearly in the public interest and will enable all parties to better understand the Companies' IT projects in the future.

7. Future of Heat

The JP contains several extraordinary commitments by the Companies intended to assist the State of New York in achieving the environmental goals embedded in CLCPA and other laws. These far reaching commitments, which would not be achievable outside of a settlement, both demonstrate the Companies' commitment to achieving the State's environmental goals and support a finding that the JP reflects outcomes that are consistent with the State's goals and otherwise in the public interest.

7.1 Energy Efficiency

The Companies' Energy Efficiency programs will be funded in base rates amounts authorized by the Commission in the NE:NY Proceeding. To protect customers, the JP provides that Energy Efficiency expenditures will subject to a downward-only reconciliation over the term of the rate plans. At the same time, the Companies will continue to be afforded the flexibility to shift funds within their respective Energy Efficiency program portfolios.

7.1.1 Unspent Energy Efficiency Costs

The JP provides that the Companies shall use any previously recovered but unspent Energy Efficiency funds to offset the Companies' Energy Efficiency program costs over the period 2021 – 2023.

7.1.2 KEDLI HEAT Program

Recognizing the immediate need to help vulnerable customers manage their energy usage, the JP provides $2.5 million to fund for KEDLI's HEAT Program, which is an

Energy Efficiency program designed to serve low to moderate income customers. This is incremental to the budgets established in the NE:NY Proceeding. Staff supported the proposed budget increase from $1.9 million to $2.5 million and proposed that the HEAT program be moved into the Company's Energy Efficiency portfolio, and treated as an addition to the Energy Efficiency budget authorized by the Commission in the NE:NY Order. Tr. 678-79, lines 19-21 and 5-18. This provision clearly benefits the Companies' most vulnerable customers and is therefore in the public interest.

7.2 Utility Energy Service Contract ("UESC") Program

The UESC program is an energy services contracting program where the Companies and customers, typically government agencies and other large commercial entities, enter limited-source contracts for energy management services, such as energy and water improvements. Tr. 59. The customers, in turn, pay for the contracted services for the improvements delivered under the UESC. Tr. 60. Although Staff's testimony supported a platform service revenue ("PSR") mechanism for the UESC program, it recommends a lower PSR percentage than the 33 percent proposed by the Companies. Tr. 598-600. The JP reflects a reasonable compromise position where, beginning in Rate Year Two, the Companies will be permitted to earn a PSR fee equal to twenty percent of the revenue in excess of program costs derived from the UESC. This outcome supports responsible energy management and is consistent with the Commission's position that

utilities should identify opportunities to generate PSRs through the provision of value-added services to customers and stakeholders.[182]

7.3 Distribution-Level Demand Response Costs

The JP clarifies that the recovery of the Companies' non-labor operation and maintenance costs associated with their distribution-level demand response programs will occur through the Demand Response Operation and Maintenance Component of the DRA.

7.4 Online Fuel Switching Calculator

Staff's testimony supported the Companies' proposal to implement a fuel-switching calculator that would help customers make decisions about switching among alternative fuel sources. Tr. 685. Staff, however, recommended that the costs of the proposed fuel-switching calculator be allocated based on National Grid's general allocator (8.29 percent to KEDLI; 13.31 percent to KEDNY). Tr. 686. Consistent with Staff's position, the JP provides the cost of the Online Fuel Switching Calculator, which will be implemented in Rate Year Two, will be allocated to all National Grid affiliates that provide comparable gas distribution services.

7.5 Reducing Billed Gas Usage/Non-Pipe Alternatives

The JP provides that the Companies will operate their gas networks with the objective of reducing gas usage, normalized for temperature, in their service territories over the term of the rate plans.[183] To that end, the Companies will endeavor to achieve weather-adjusted reductions of one-half of one percent in billed gas usage as compared to the

[182] Case 14-M-0101, *Proceeding on Motion of the Commission in Regard to Reforming the Energy Vision*, Order Adopting a Ratemaking and Utility Revenue Policy Framework (May 19, 2016) ("REV Track Two Order"), Page 49 ("Regulated utilities should be allowed to earn revenues from activities whose principal effect is to facilitate the growth and operation of markets").
[183] JP Section IV.7.5.

currently forecast levels of non-electric generation use in Rate Years Two and Three.[184] The Companies will use various tools to achieve these goals, including incremental efficiency programs, demand response, non-gas NPA projects, geothermal/electrification, and other initiatives intended to achieve target reductions. The Companies will report on their progress against these gas usage reduction goals in their semi-annual non-infrastructure filings and, before the end of Rate Year Three, file a report that assesses the Energy Efficiency and other non-infrastructure programs necessary to achieve climate appropriate reductions in billed gas usage in future years. The Commission has approved similar provisions in recent rate settlements.[185] These important commitments were not addressed in the parties' litigated positions and only achievable through settlement.

7.5.1 Gas Expansion Programs

The Companies are not currently conducting marketing for new gas connections and conversions, including any customer rebates for heating oil-to-gas conversions or new gas customers. The JP provides that the Companies will not resume gas marketing for the term of the rate plans.[186] In addition, the Companies' MetroTech Sustainability Hub and customer offices will provide information to customers on gas safety and available Energy Efficiency programs. The Companies will also provide information on their website regarding the emission reduction and Energy Efficiency goals of the CLCPA and Local Law 97 (KEDNY). These commitments will assist the Companies in managing gas demand in capacity-constrained areas in downstate New York, while providing customers

[184] *Id.*
[185] 2020 NYSEG/RGE Rate Order at 117-118.
[186] JP Section IV.7.5.1.

with valuable information on Energy Efficiency programs and the state/city's clean energy goals.

7.5.2 Alternate Heating Options

The JP memorializes the consensus among the Signatory Parties on the importance of providing customers with the information necessary to make informed energy choices. To that end, the Companies commit to developing educational material, in coordination with their Energy Efficiency and demand response programs, that will inform customers of alternative heating options, including air- and ground-source heat pumps and geothermal heating systems.[187] The Companies will also add these options to any materials showing the comparative advantages of one fuel choice or option over another, highlighting federal and state incentives. The Companies will work to promote programs supporting electrification with municipalities, utilities, and trade organizations and refer customers to NYSERDA's website for information on available heat pump programs. The Companies' agreement to promote alternative heating options is a clear benefit of the JP that likely could not be achieved without a negotiated settlement in these proceedings.

7.5.3 CLCPA Study

The JP provides that, no later than the end of Rate Year Three, the Companies will complete a CLCPA Study that evaluates how the Companies' businesses may evolve in the future to support the emission reduction goals of the CLCPA, Local Law 97, and the Companies' own goals. The CLCPA Study will provide an analysis of the scale, timing, costs and customer bill impacts of achieving significant quantifiable reductions in carbon emissions from the use of gas delivered by the Companies in their service territories. The

[187] JP Section IV.7.5.2.

CLCPA Study will incorporate and respond to any findings or guidance of the New York State Climate Action Council. The CLCPA Study will also provide parties the opportunity to provide feedback covering its scoping, to review the draft study, and to provide feedback on the final draft before it is published. In their next rate filings, the Companies will detail investments, programs and initiatives that have been added, altered, or removed to achieve the objections detailed in the study. The Companies' commitments concerning the CLCPA Study demonstrate the Companies' willingness to work with other parties to achieve the State's environmental goals and provide a clear public interest benefit that likely would not be achieved outside a negotiated settlement of these proceedings.

7.5.4 Depreciation Study

The JP further provides that the Companies will complete and file at least three months prior to their next base rate filings a study concerning the potential depreciation impacts of climate change policies and laws on their gas assets. Once again, other parties will have the opportunity to participate in the creation of the study. This represents a further commitment on the Companies' part to provide parties with information that will help New York State in making significant decisions related to climate change.

7.5.5 Heat Pump NPAs: LPP Alternatives and Customer Connections Pilots

The Companies' filings included a proposal to expand a geothermal demonstration project authorized in the 2016 KEDNY and KEDLI Rate Cases. Tr. 77. The Companies' proposal was supported by several parties, including Estates NY Real Estate Services LLC (Tr. 5747, lines 13-17) and Mr. Robert Wyman (Tr. 5721, line 14.). Staff opposed the Companies' proposals on several grounds, including that legal or statutory issues also may affect the ability of the Companies to provide geothermal market services. Tr. 719.

As a compromise on this issue, the JP provides that the Companies will support the deployment of geothermal heating and consider opportunities to deploy heat pumps as an NPA, specifically where heat pumps could avoid LPP replacements and network expansions. The Companies will consider an NPA solution as part of their capital planning process – and propose a mechanism to retain a percentage of the difference between the costs of a traditional investment and the proposed cost of an NPA, adjusted for other net benefits.

The Commission has found that "heat pumps create meaningful improvements in overall efficiency and reduce carbon emissions[,]"[188] and increased GSHP deployment is important to helping achieve the State's carbon reduction goals. The Commission also noted that "[h]eat pumps . . . are an important alternative to be considered in natural gas supply-constrained areas."[189] The provisions in the JP regarding geothermal NPAs presents a reasonable compromise on the deployment of heat pumps while also providing the Companies with the opportunities to earn incentives in instances where heat pumps can be utilized in lieu of traditional investments in support of Commission policy.

7.5.6 Climate Assessment of Investments and Initiatives

In response to the feedback from several parties, the JP provides that the Companies' next rate filing will include information on historical and current GHG emissions and an assessment of the impact that proposed investments will have on emissions. The Companies will also describe NPAs considered for each investment. This

[188] NE:NY Order at 53.
[189] *Id*.

provision will enable more analysis of the emissions impacts of proposed investments in future rate proceedings.

7.5.7 New Gas Connections Cost Report

Consistent with the other provisions supporting the consideration of alternative heating options, the JP provides that the Companies will file a report regarding the cost of facilities (*e.g.*, main and service lines for connecting customers) provided to new customers pursuant the Commission's regulations and Companies' tariffs, and how all or a portion of those costs could be used to provide applicants with an incentive to select electric thermal options (*e.g.*, heat pumps) rather than gas service. The report could form the basis for a petition by any interested party to implement such a program, or could be utilized to discuss such a program in the next rate proceedings for the Companies.

7.6 Hydrogen Blending Research

The Companies proposed a hydrogen blending study to examine what actions would be necessary to prepare the gas system for the introduce of hydrogen, which would be partially funded through a NYSERDA grant. Although Staff initially opposed the proposed Hydrogen Blending study (Tr. 705), Staff's brief recommend that, if NYSERDA awards the grant to the Companies, the Commission should approve recovery of the remaining study costs. Staff Initial Brief at 199-200. With the grant having been secured, and consistent with Staff's latest position, the JP provides that the Companies will proceed with their Hydrogen Blending Research initiatives with total remaining funding of $0.446 million, of which $0.100 million will be funded in base rates (including $0.035 million incremental expense for each Company in Other Initiatives), with the remainder funded

through a NYSERDA grant.[190] Given the potential benefits of using hydrogen in the existing gas infrastructure, this is an important study that can be completed for minimal costs and, therefore, should be approved.

7.7 Economic Development

The Companies generally agreed with Staff's proposed adjustments to expanding eligibility for the economic development grant programs. Tr. 176. The Companies also agreed with Staff that increasing non-firm customer participation in the economic development grant programs portfolio is reasonable, as well as Staff's proposal to modify existing programs aimed at new or upgrading customers to become or convert to being non-firm customers. Tr. 1504, Tr. 178. Therefore, the JP provide that both firm and non-firm non-residential customers will be eligible for the respective Company's economic development grant and discount programs. Applicable infrastructure-related grant programs also will be modified to allow the related costs of converting from firm to non-firm service to qualify for additional funding. The costs of the economic development grant programs, which will be set at $2.25 million for KEDNY and $2.75 million for KEDLI (and offset by available credit such that the net revenue requirement for each Company is $500,000), will be subject to downward-only reconciliations over the term of the rate plans.

7.8 Earnings Adjustment Mechanisms ("EAMs")

The JP provides for the establishment of EAMs that are intended to encourage the Companies to achieve outcomes consistent with the Commission's policy goals. The Commission's January 16, 2020 energy efficiency order provides that the "fundamental

[190] JP Section IV.7.6.

purpose of EAMs is to focus management attention on and reward superior outcomes."[191] The EAM metrics and targets proposed by the Companies are aligned with this fundamental purpose.

Specifically, the JP proposes that the Companies will adopt three EAMs: (1) Share the Savings ("STS"), (2) LMI Energy Efficiency ("LMI EE"), and (3) Gas Peak Reduction ("GPR"). The STS EAM will incentivize the Companies to reduce the unit costs of their energy efficiency portfolio (excluding LMI programs). The Companies can achieve incentives under this EAM by reducing total portfolio expenditures and/or by increasing the overall achievement above the approved baseline level of lifetime energy savings. The LMI Customer Savings EAM incentivizes the Companies to exceed the cumulative annual savings targets for their LMI portfolio, as defined in the 2020 Statewide Implementation Plan. The GPR EAM incentivizes the Companies to deliver reductions in daily firm heating load gas demand in their service territories.

The EAM proposals set forth in the JP represent a broad consensus approach to achieving beneficial societal objectives that have been promoted by the Commission in its Reforming the Energy Vision proceeding. The number of EAMs, their performance targets, and their incentive levels are the product of significant compromise among the Signatory Parties. Adoption of the JP will ensure that these proposals are implemented in as timely a manner as possible.

[191] NE:NY Order at 106.

8. Reconciliations, Deferrals, and True-Ups

8.1 Existing Reconciliations, Deferrals, and True-Ups

Appendix 6, Schedule 1 of the JP sets forth KEDNY's deferral accounts and other regulatory assets and liabilities balances as of December 31, 2018. Appendix 7, Schedule 1 sets forth KEDLI's deferral accounts and other regulatory assets and liabilities balances as of December 31, 2018. With the exception of the deferral accounts and other regulatory assets and liabilities identified as "Discontinued" on Schedule 1, the JP proposes that the Companies are authorized to continue the use of reconciliation mechanisms and/or deferral accounting (with certain modifications) with respect to the expenses set forth in Schedules 1 of Appendix 6 and Appendix 7.[192] The existing deferral mechanisms that will be continued in their current or modified form includes:

(i) Pension and other post-employment benefits,[193]

(ii) Energy affordability program costs,[194]

(iii) Exogenous costs,[195]

(iv) SIR Expenses,[196]

(v) Property and special franchise taxes,[197]

(vi) Negative or positive revenue adjustments,[198]

[192] The deferral accounts and other regulatory assets and liabilities identified as "Discontinued" on Schedules 1 of Appendix 6 and 7 will be discontinued as of the Effective Date. These accounts contain balances as of December 31, 2019, which are set forth in Schedules 1. The discontinuance of these accounts is not intended to preclude the Companies from returning to, or recovering from, customers the balances as of December 31, 2019, plus any applicable carrying charges.
[193] JP Section IV.8.1.1.
[194] JP Section IV.8.1.2.
[195] JP Section IV.8.1.3.
[196] JP Section IV.8.1.4.
[197] JP Section IV.8.1.5.
[198] JP Section IV.8.1.6.

(vii) Non-firm demand response service revenues,[199]

(viii) Electric generation revenues,[200]

(ix) Economic development grant program costs,[201]

(x) RDM revenues,[202]

(xi) Net Utility Plant and Depreciation Expense,[203]

(xii) City/state construction capital costs,[204] and

(xiii) Variable Pay.[205]

In addition, the JP provides that the following reconciliation mechanisms will continue outside base rates:[206]

(i) Systems Benefits Charge program costs,[207]

(ii) gas costs,[208]

(iii) LAUF,[209]

(iv) the System Performance Adjustment Mechanism,[210] and

(v) gas cost incentives.[211]

Except where otherwise noted, the Companies will accrue carrying charges on all deferral accounts and other regulatory assets and liabilities, net of deferred taxes, calculated

[199] JP Section IV.8.1.7.
[200] JP Section IV.8.1.8.
[201] JP Section IV.8.1.9.
[202] JP Section IV.8.1.10.
[203] JP Section IV.1.12. During the Stayout Period this mechanism will be converted to a two way deferral. *See* Section IV.12.2.
[204] JP Section IV.8.1.13.
[205] JP Section IV.8.1.14.
[206] JP Section IV.8.1.11.
[207] *Id*.
[208] *Id*.
[209] *Id*.
[210] *Id*.
[211] *Id*.

using the pre-tax weighted average cost of capital for the respective Rate Year. An example of the calculation of carrying charges is set forth in Appendices 6 and 7, Schedule 1 of the JP.

While many of these deferral mechanisms have been included in the Companies' prior rate plans, there are certain aspects of these mechanisms that are important features of the JP and merit further discussion, including:

Section IV.8.1.3 – Exogenous Costs

With respect to exogenous costs the JP recognizes and includes provisions that will permit the Companies to defer the cost and revenue impacts associated with:

(a) a pending Pipeline and Hazardous Materials Safety Administration ("PHMSA") rulemaking regarding pipeline integrity management, integrity verification and related issues;

(b) potential for legislation requiring professional engineering review and approval of all gas engineering plans;

(c) potential federal and state income tax changes;

(d) the Commission's recently issued "Memorandum and Resolution Instituting Promulgation Process for Amendments in Gas Safety Regulations" in Case 19-G-0736; and

(e) a potential significant increase in KEDLI's property taxes as a result of the municipalization of certain water facilities.

Each of those items could have a significant impact on the Companies costs and revenues that would be largely beyond the Companies' control. The JP sensibly protects both the

Companies and customers from these risks. These protections are clearly in the public interest.

Section IV.8.1.4 – SIR Expenses

The JP provides that KEDNY's existing SIR Recovery Surcharge will continue, and that KEDNY will continue to absorb ten percent of the remaining investigation costs for the Citizens site pursuant to the Stipulation and Agreement Resolving Corporate Structure Issues and Establishing Multi-Year Rate Plans, dated June 25, 1996, in Case 95-G-0671. In addition, the Companies will continue to charge to SIR accounting the costs to pursue recoveries from insurance companies and other potentially responsible third parties to the SIR deferral balance and credit 100 percent of such recoveries as they are received. In addition, to the extent the Companies dispose of property on which SIR activities have occurred, they will continue to credit after tax gains to the total SIR costs for the site.

Section VI.8.1.5.1 - Hempstead Property Tax Refund (KEDLI Only)

In Case 18-M-0270, KEDLI has provided notice to the Commission that it received a tax refund of $50.416 million. The refund is the result of a tax judgment obtained by KEDLI after many years of litigation. The amount of the refund could change as a result of further appeals of the judgment.

The JP provides that to resolve issues related to the disposition of the property tax refund in Case 18-M-0270, KEDLI shall be permitted to retain its costs to achieve the ultimate refund (currently estimated at $200,000) and 15 percent of the ultimate refund after adjustment for costs to achieve the refund.[212]

[212] JP Section IV.8.1.5.1.

In Case 18-M-0270, KEDLI sought to retain 25 percent of the refund, net of costs to achieve the refund. The JP represents a reasonable settlement of the Company's request that will provide both a considerable benefit to customers as well as an incentive to KEDLI to pursue further tax mitigation efforts in the future. Moreover, the allocation of the refund is consistent with the efforts and risks undertaken by KEDLI in pursuing and achieving the proposed refund,[213] as well as prior Commission decisions that have approved similar allocations of tax refunds between utilities and their customers.[214] The proposed disposition of the Case 18-M-0270 property tax refund represents a reasonable compromise that is consistent with Commission precedent and should be adopted as proposed.

Section VI. 8.1.13 - City/State Construction

In light of the increasing volatility in the CSC category, the Companies proposed to adjust the existing 90/10 partial tracker mechanism adopted in the 2016 KEDNY and KEDLI Rate Cases to a full reconciliation of the difference between forecast and actual capital spending. Tr. 4277-78, 4445. KEDNY also proposed to implement an operations and maintenance tracker that would fully reconcile the difference between forecast and

[213] *See* KEDLI's "Notice of Tax Refund and Proposed Method of Disposition" dated May 7, 2018 in Case 18-M-0270 ("Case 18-M-0270 Notice"). KEDLI's Case 18-M-0270 Notice states that KEDLI commenced pursuit of the refund in 2002, seeking tax refunds from as far back as 1996, as well as carrying costs at nine percent per annum. It took KEDLI 16 years to obtain the judgment that resulted in the refund.

[214] *See, e.g.*, Case 03-M-1148, Petition for Approval of a Proposed Allocation of a Federal Income Tax Refund of Approximately $121,000,000 filed by Consolidated Edison Company of New York, Inc., *Order Addressing Federal Tax Refund* (March 24, 2005) at 9. Case 02-M-0917, Petition filed by KeySpan Gas East Corporation d/b/a KeySpan Energy Delivery Long Island for Approval, Pursuant to Public Service Law Section 113(2), of the Proposed Allocation of a $5,107,476.84 Tax Refund from the County of Nassau, *Order Allocating Property Tax Refund* (May 12, 2004) (50-50 sharing of refund authorized in accordance with rate plan sharing mechanism in effect during period excess tax payments occurred) (hereinafter "the Case 02-M-0917 Order"); *see also* Cases 07-E-0927 and 08-M-0281, Petition for Approval, Pursuant to Section 113(2), of a Proposed Allocation of Certain Tax Refunds Between Consolidated Edison Company of New York, Inc. and Ratepayers et al., *Order Concerning Two Property Tax Refunds* (June 23, 2008) (retention by company of 14% of tax refund consistent with applicable rate plan.).

actual spending in the non-reimbursable CSC "Support & Protect" operations and maintenance expense category. Tr. 4278. Support & Protect work consists of the operations and maintenance work required to protect KEDNY's gas assets during New York City construction projects (*e.g.*, shoring facilities). The Companies asserted that these mechanisms were appropriate to ensure that the Companies recover prudently incurred costs to perform this mandated work and, importantly, provide assurance that customers are not overcharged to the extent expenses are lower than expected in any given year. Tr. 4278. Such protection is especially essential in New York City as the CSC program scope continues to grow in response to New York City's programs to invest billions of dollars to improve its water and sewer systems, which subjects KEDNY's program, which is entirely reactive to that work, to significant volatility in scope and expenditures. Tr. 4247.

DPS Staff acknowledged that KEDNY's CSC-related operations and maintenance expense is a function of the work required by New York City, that KEDNY is obligated to provide operations and maintenance support for New York City's projects and, importantly, that the level of such work is not within KEDNY's complete control. Tr. 4772-73. Notwithstanding these acknowledgements, the SGIOP opposed the proposed tracker to reconcile the operations and maintenance expense associated with CSC and recommended that the existing 90/10 capital deferral mechanism be reduced to 80/20. Tr. 4700-01. New York City similarly opposed the Companies' proposed changes to the existing capital reconciliation mechanism and the adoption of a new operations and maintenance tracker. Tr. 5424-25.

The JP reflects a compromise of the positions advocated by the Companies and Staff that establishes projected levels of CSC capital expenditures for the Companies in each of the rate years. If a Company's actual capital spending for CSC, net of reimbursements, differs from the forecast amount in any rate year or the Stayout Period, the affected Company will be permitted to defer the revenue requirement effect (excluding O&M expenses) associated with 90 percent of the difference for future recovery from, or return to, customers. The Companies are required to submit a filing to the Secretary to the Commission that demonstrates that the CSC costs incurred in excess of the rate allowance were reasonable and beyond the Companies' control, and there is a provision allowing for Commission review of any disagreement associated with the Company's filing. The CSC reconciliation will work in conjunction with the Net Utility Plant and Depreciation Expense Reconciliation Mechanism. This proposal is reasonable because the CSC programs are unique in their challenges to accurately forecast, especially for KENDY, and, even if the programs are managed to the highest standard, the Companies do not have the ability to predict future program needs, which are driven by municipalities. To the extent either Company's capital expenditures are materially higher or lower than the amounts reflected in rates the reconciliation mechanism will protect both customers and the Companies from this volatility.

8.2 New Reconciliation, Deferrals, and True-Ups

The JP proposes new reconciliations, deferrals and true-ups as set forth below. The Companies will accrue carrying charges on the new deferral account balances calculated using the pre-tax weighted average cost of capital for the respective Rate Year. Each of these deferrals will ensure that customer will pay no more and no less than the Companies'

actual costs in situations where the costs actually incurred by the Companies are largely beyond their control. These deferral mechanisms are reasonable and in the public interest.

8.2.1 Paving Expense (KEDNY Only)

The amounts of paving expense reflected in KEDNY's revenue requirement total $25.465 million in Rate Year One, $23.372 million in Rate Year Two, and $24.039 million in Rate Year Three. These amounts have been adjusted to reflect the COVID-19 pandemic in Rate Year One. KEDNY will defer the difference between its actual paving expense and the amount reflected in the revenue requirement. An example of this reconciliation is set forth in the JP in Appendix 6, Schedule 15. This deferral mechanism will reasonably keep KEDNY and its customer whole for a cost that is likely to be volatile during the term of KEDNY's rate plan.

8.2.2 Downward-Only Reconciliation of IT Net Utility Plant and Depreciation Expense

As discussed in Section III.6.4 of this Statement in Support, the JP proposes that the Companies will implement downward-only reconciliations of net plant and depreciation expense associated with their IT capital programs. The reconciliation is described in detail in Section IV.6.4 of the JP. Illustrations of the operation of this mechanism are set forth on Appendices 6 and 7, Schedule 13 to the JP.

8.2.3 Pension and OPEB Settlement/Curtailment Gain

Consistent with Article VI. Section 2 of the JP adopted by the Commission in Case 16-G-0058 *et al.*,[215] KEDNY and KEDLI will be permitted to establish pension and OPEB-related regulatory assets of $1 million and $47 million, respectively, which amounts were eliminated by KEDNY and KEDLI as a result of their affiliate KeySpan Electric Services

[215] 2016 KEDNY/KEDLI Rate Order at 70.

LLC's ("KES") recognition of a curtailment/settlement gain required at the expiration of the Management Services Agreement between KES and LIPA. The recognition of the regulatory assets will ensure that customers of KEDNY and KEDLI will pay no more and no less than they would have paid if KES had not recognized the curtailment/settlement gain.

8.2.4 Energy Efficiency Costs

Consistent with Section IV.7.1 of the JP, Energy Efficiency costs shall be subject to a downward-only reconciliation over the term of the rate plans and will be fully reconciled to the costs recovered in rates annually thereafter.

8.2.5 Inactive Accounts

The JP provides that KEDNY and KEDLI be allowed to defer up to $1.0 million of incremental expenses associated with enhancing the inactive accounts process in Rate Year Two, Rate Year Three, and the Stayout Period if the Companies do not file for new rates to be effective at the end of Rate Year Three. As discussed in Section III.5.23 *supra*, this treatment will allow the Companies to implement, any agreed upon process and safety improvements in this area during the term of the rate plans and eliminate any disincentive to pursuing such improvements due to lack of cost recovery.

8.2.6 Uncollectible Accounts

The rate allowances set forth in the JP for bad debt expenses are $15.687 million, $16.080 million and $16.828 million for KEDNY, and $6.768 million, $6.893 million, and $7.419 million for KEDLI in Rate Years One, Two and Three, respectively. For any Rate Year, the Companies may petition for authority to defer uncollectible expenses in excess of the rate allowance that result from the COVID-19 pandemic, or otherwise exercise any

rights to defer such expenses arising under this JP or any other applicable rate agreement. Notwithstanding this provision, if the Commission issues a decision in a generic proceeding concerning the deferral of incremental uncollectible expense arising from the COVID-19 pandemic, such decision will control the Companies' abilities to defer uncollectible expenses. This provision of the JP provides the Companies with reasonable protection from fluctuations in uncollectible expenses that arise due to the circumstances created by the COVID-19 pandemic.

8.2.7 Customer Connections

The Companies' filings reflected forecast levels of spending for Customer Connections capital categories in the rate years based on a two-year average of unit costs from FY 2018 and FY 2019. Tr. 4547. Those levels were subsequently modified to reflect the settlement in Case 19-G-0678, which provided for new customer connections through September 1, 2021. Tr. 4563, 4566-67. The SGIOP generally agreed with the Companies' methodologies for deriving the Customer Connections forecasts, including the updates to reflect the settlement in Case 19-G-0678 (Tr. 4714); however, the SGIOP used a three-year average from FY 2017 to FY 2019, with normalizing adjustments, to reduce the Customer Connections capital levels in the Rate Year. Tr. 4647-49, 4714. While superficially the SGIOP's use of a three-year average of unit costs to forecast costs in the Rate Year appeared reasonable, the selective "normalizing" adjustments made by the SGIOP (Tr. 4713-20) primarily eliminated years with the highest unit costs from the average. The Companies did not believe this approach meaningfully reflected the data from historic periods and was not indicative of the projected costs for the Rate Year.

The JP proposes projected levels of expenditures for the Companies' Customer Connections capital category in each of the Rate Years that reflects a compromise between the positions advocated by the Companies and Staff. Further, if a Company's actual capital spending in the Customer Connections capital category differs from the forecast amount in any Rate Year or the Stayout Period, the affected Company is permitted to defer the revenue requirement for future recovery from or return to customers. The Customer Connections reconciliation will work in conjunction with the Net Utility Plant and Depreciation Expense Reconciliation Mechanism. This proposal is reasonable because Customer Connections levels are highly variable due to factors beyond the Companies' control (*e.g.*, pandemic, economic conditions). The deferral mechanism will serve to insulate the Companies and customers from the additional risk of volatility with respect to the costs of customer connections.

8.2.8 Reconnect Fees (KEDNY Only)

Consistent with Section IV.11.3 of the JP, KEDNY will be permitted to defer for future recovery from customers any reconnect fees waived for customers participating in the Energy Affordability Programs. An example of this reconciliation is set forth in the JP in Appendix 6, Schedule 17.

8.3 Additional Reconciliations, Deferrals, True-Ups

Nothing in the JP prevents the Companies from implementing additional reconciliations or deferral mechanisms if approved by the Commission.

9. <u>Customer Service Quality Program</u>

Customer Service Quality Programs are intended to align shareholder and customer interests by providing earnings consequences to shareholders for declines in the quality of

service provided to customers. The Companies initially proposed to continue the current service quality metrics and targets and NRAs without modification. Tr. 1130. Under the Companies' initial proposal, the overall annual amount at risk for KEDNY and KEDLI would be continued at $11.7 million and $9.9 million, respectively. Tr. 1129. Staff did not propose any adjustment to NRAs. Tr. 1473. The JP continues the total amount at risk at $11.7 million for KEDNY and $9.9 million for KEDLI. These provision will incentivize the Companies to continue to provide appropriate customer service.

The Signatory Parties recognize that the COVID-19 pandemic could impact the Companies' performance under these metrics during the rate plans. To that end, the parties agreed the Companies can request that the Commission waive an NRA due to performance impacts that the Companies can demonstrate were a result from the COVID-19 pandemic for CY 2020 - CY 2024.

The Company proposed, and the Signatory Parties agree, that if, the Commission takes action regarding service quality metrics in Case 20-M-0266, Proceeding on Motion of the Commission Regarding the Effects of COVID-19 on Utility Service, or any similar proceeding, the Commission's determination in that proceeding shall control.

With the timing of the JP occurring after the first Rate Year, the Signatory Parties agreed to keep the existing Customer Service Quality Performance metrics and targets for CY 2020. As detailed below, Staff and UIU advocated for more stringent targets for PSC Complaint Rates, Customer Satisfaction, Adjusted Bills, and KEDLI Telephone Response Rate[216] that would begin in CY 2021 and beyond.

[216] Tr. 1465, line 10; Tr. 1467, lines 1-5

9.1 PSC Complaint Rate

A PSC complaint is initiated with a dispute being filed by, or on behalf of, a customer, or prospective customer seeking gas service, with the Commission. The annual PSC Complaint Rate metrics for KEDNY and KEDLI were previously set at 1.1 complaints per 100,000 customers. Staff proposed that the PSC Complaint Rate be adjusted to 1.0 complaints per 100,000 customers. Tr. 1472. UIU proposed that the PSC Complaint Rate for KEDNY be set to 0.7 complaints per 100,000 customers. Tr. 1799, Vol. 4. The Companies asserted that the current targets are appropriately challenging and that consistently high levels of performance delivered over multiple, consecutive years should provide the Commission with sufficient comfort that service will not be diminished with the current targets. Tr. 1131, 1203. Further, the Company asserted Staff had not submitted any evidence of changed circumstances that would justify imposing more stringent targets or provide a basis for finding the existing targets were inadequate to assure satisfactory service. Tr. 1206. The JP provides for a 1.0 PSC complaint rate for both Companies, which when viewed collectively among all of the service quality metrics, is a reasonable compromise of competing positions.

9.2 Customer Satisfaction

The Customer Satisfaction metric will be renamed the Residential Customer Satisfaction Survey in accordance with Staff's audit in Case 20-M-0046. Customer satisfaction is measured monthly based on the satisfaction ratings resulting from a random survey of residential customers who have contacted the Companies. The satisfaction level is measured based on the number of customers rating the Companies between "6" and "10" on a ten-point satisfaction scale. KEDNY and KEDLI proposed to retain the existing

targets of 84.8 and 83.4 percent, respectively. Tr. 1130. Staff proposed to increase the targets to 86.7 and 85.1 percent for KEDNY and KEDLI, respectively. Tr. 1467-68. UIU proposed to increase KEDNY's satisfaction target to 86.4 percent. See Exhibit 561 (GCC-2), page 2 of 2. The JP provides for new targets of 86.7 and 85.1 percent for KEDNY and KEDLI, respectively, which, when viewed collectively among all of the service quality metrics, is a reasonable compromise of competing positions.

The Signatory Parties also acknowledge the ongoing joint utility collaborative in Case 15-M-0566, *In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations*, is working toward a common satisfaction survey for New York utilities that could be used in lieu of existing customer satisfaction metrics and targets.

9.3 Telephone Answer Response within 30 Seconds

This is a measure of the proportion of customer service calls answered by the Companies' customer service representative ("CSR") within 30 seconds, expressed as a percentage of the total calls answered.

KEDNY and KEDLI proposed to retain the existing targets of 60.6 and 62.2 percent calls answered by a CSR within 30 seconds. Tr. 1130. Staff proposed a more stringent target for KEDLI of 65.8 percent and to keep the current target of 60.6 percent for KEDNY. Tr. 1469. UIU proposed that the KEDLI's Telephone Answer Rate be increased to 64.4 percent. Tr. 1800, Vol. 4; *see* Exhibit 561 (GCC-2), page 2 of 2. The JP retains the existing targets of 60.6 and 62.2 percent for KEDNY and KEDLI, respectively, and is reasonable because the existing targets have been adequate for the Companies to provide consistently high levels of performance.

9.4 Adjusted Customer Bills

This is a measure of the proportion of customer bills that require later adjustment as a result of errors by the Companies, expressed as a percentage of total customer bills. KEDNY and KEDLI proposed to retain the existing target of 1.69 percent adjusted bills. Tr. 1130. Staff proposed a more stringent target for KEDNY and KEDLI of 0.61 and 0.40 percent, respectively. See Exhibit 414, page 2 of 2. UIU proposed that the KEDNY and KEDLI's Adjusted Customer Bills targets be set at 0.62 and 1.50 percent, respectively. See Exhibit 561, page 2 of 2. The JP provides for new targets of 0.62 and 1.50 percent for KEDNY and KEDLI, respectively, which when viewed collectively among all of the service quality metrics is a reasonable compromise of competing positions.

9.5 Reporting

Staff recommended that the Companies should continue to submit quarterly and annual reports. Tr. 1473. None of the Signatory Parties proposed changes to the current reporting. The annual performance report will include a description of the service quality measures, the method for calculating performance, the results for the period, supporting calculations of annual results in spreadsheet format, and a narrative overall assessment of customer service performance during that calendar year. The Companies will continue to submit annual performance reports to the Secretary to the Commission within three months after the conclusion of each full calendar year. These reporting requirements will help inform Staff and the parties regarding the Companies' performance.

9.6 Service Guarantee

None of the Signatory Parties proposed to change the Companies' existing service guarantee policies as set forth in their tariffs. For each missed appointment, the Companies will provide a credit of $30 for residential customers and $60 for non-residential customers.

9.7 Termination and Uncollectible Incentive

The Companies proposed to continue the existing PRA termination and uncollectible measure, using the same methodology approved for KEDNY in the 2016 KEDNY and KEDLI Rate Cases and a modified approach for KEDLI. Tr. 1112-14. Staff proposed to modify the targets for the termination and uncollectible incentive and to add a third metric measuring outstanding arrears. Tr. 1480-85. PULP proposed to adjust the targets, add an arrears metric and to impose an NRA mechanism. Tr. 1620; Tr. 1641-42.

In light of the COVID-19 pandemic and Chapter 108 of the Laws of New York of 2020, which amended Public Service Law § 32 and imposed moratorium on termination of residential service,[217] the Signatory Parties agreed the existing termination and uncollectible incentive mechanism should be suspended for the term of the rate plans, subject to the outcome of the generic COVID-19 proceeding. This is consistent with past Commission practice in multi-year rate case settlements, which include provisions that suspend metrics when factors beyond the control of the parties impact performance,[218] such

[217] On May 11, 2021, the Governor signed into law Chapter 106 of the Laws of New York of 2021, which further amends Public Service Law § 32, imposing a moratorium for qualifying customers for the duration of the current COVID-19 State of Emergency (pursuant to the Governor's Executive Order 202 - state declaration of emergency), and for a period of 180 days following the end of the COVID-19 State of Emergency or 180 days following December 31, 2021, whichever occurs earlier.

[218] *See e.g.*, 2016 Joint Proposal, Section IV.8.4 (excluding instances of "mass area odors" from KEDNY's emergency response metric).

as severe storms, *force majeure* events, or in this case, the COVID-19 pandemic and its aftermath.

10. Gas Safety Performance Metrics

The JP provides continuation of the gas safety performance metrics adopted by the Commission in the 2016 KEDNY and KEDLI Rate Cases, subject to certain modifications. The Companies' calendar year performance will continue to be measured against annual targets established in the areas of LPP removal, leak management, damage prevention, emergency response, and instances of non-compliance with the Commission's gas safety regulations. Although the pre-tax basis points at risk annually under the metrics will remain capped at 150 per company, the JP distributes the basis points more evenly across the metrics, providing for meaningful penalties across all metrics and aligning the Companies' metrics with targets adopted as part of rate plans for other gas utilities in New York State.[219] For certain metrics, the Companies will retain the ability to earn PRAs to the extent their performance exceeds the targets and meets certain criteria.

Specifically, for LPP retirement and leak management, the pre-tax basis points at risk annually have been increased for both metrics and the Companies will continue their aggressive LPP removal and leak management targets, which will improve the safety of the system and assist with methane reductions. The Companies have also agreed to work with EDF and other interested parties to enhance leak detection methodologies and technologies that may serve to further refine backlog targets for the benefit of customers in future proceedings. The basis points at risk for the damage prevention metric have also

[219] 2020 Con Edison Rate Order at 60-65; 2020 NYSEG/RGE Rate Order at 155-159; 2019 O&R Rate Order at 84-90.

increased and the Companies will be held to more challenging targets year over year during the term of the rate plans. The emergency response metric targets and incentives are similar to those established in the prior rate plan; however, the basis points at risk have been doubled from 12 to 25 points annually thereby providing for greater financial exposure should the Companies fail to achieve the targets. Finally, although the basis points at risk annually for gas safety regulations performance measure has slightly decreased from 100 to 75, the list of violations subject to the measure has been expanded, including the addition of numerous LNG regulations, and the Commission retains the right to commence potential penalty proceedings under PSL 25 and 25-a for violations not subject to the metric. These features ensure that DPS Staff and the Commission have appropriate oversight of the Companies' gas safety performance and compliance and will continue to drive improvements in this area in the coming years.

In sum, the JP's proposed safety metrics are more stringent than those established in the 2016 KEDNY and KEDLI Rate Cases, increasing the basis point at risk for certain metrics and establishing challenging targets that will be more difficult to achieve. These metrics will encourage improvement in the Companies' performance in these areas and provide for penalties where the Companies' performance falls below the established targets. Agreement to these metrics represents a significant concession on the Companies' part and demonstrates their commitment to continue to enhance gas safety.

Finally, the JP provides that the Companies will submit an annual report to the Secretary to the Commission, no later than April 1 of each year, regarding the prior calendar year's performance under the Gas Safety Performance Metrics in Sections IV.10.1 to IV.10.5. There was no substantive discussion of the gas safety reporting

requirements in testimony, as the Companies agreed to continue this reporting in their direct testimony. Tr. 3767. Notwithstanding, the Companies note that continued provision of annual reports will update DPS Staff and other parties on the Companies' performance, provide the data required to calculate annual PRAs and NRAs, and is consistent with the rate plans adopted in the 2016 KEDNY and KEDLI Rate Cases.

11. Customer Initiatives

11.1 Electronic Deferred Payment Agreements ("E-DPAs") Reports

The Companies proposed to offer residential customers the ability to negotiate E-DPAs over the telephone, with the resulting E-DPA provided to the customer for review and electronic signature via email or other electronic means. Tr. 1133-1134. Staff supported the Companies' proposal because it is more convenient option for customers who are applying for and implementing a DPA. Tr. 1490. None of the parties submitted testimony objecting to the use of E-DPA. As acknowledged by Staff and the Companies, E-DPAs would be beneficial for customers, and thus, should be implemented in accordance with the JP.

11.1.1 Reporting

Staff recommend that the Companies submit to the Secretary quarterly reports on the status of E-DPAs. *Id.* Staff also recommended that the Companies be required to include a summary of any customer inquiries and/or complaints received regarding E-DPAs. Tr. 1491. The Companies agreed with quarterly reporting but did not agree with including data beyond what is already reported in the collection activity reports. Tr. 1220-1221. The Company noted that summaries of any customer inquiries and/or complaints received regarding E-DPAs would be redundant to the existing DPS quick response system

and formal complaint process for addressing customer inquiries and complaints and would be difficult to track and report. Tr. 1220.

The JP proposes the quarterly reporting requirements recommended by Staff, but without the requirement for summaries of customer inquiries, as recommended by the Companies. This is a reasonable compromise among the positions of the parties and will help Staff and the parties track performance and adoption of E-DPAs. The parties agree in the JP that the reports would be created using the data reported on the Companies' collection activity reports, which increases efficiency by using existing data sources to support reporting. In addition to improvements resulting from E-DPAs, PULP also requested that an existing requirement for customers to come into a KEDNY office to negotiate certain DPAs be eliminated. Tr. 1656-1657. The JP sets forth the parties' agreement that KEDNY will no longer require customers to come into a KEDNY Customer Office to provide documentation for a DPA. This is beneficial for KEDNY customers because it provides increased options for negotiating and entering DPAs.

11.2 Energy and Affordability Programs ("EAPs")

11.2.1 EAP Tier Discount Levels

The Companies currently implement their EAPs in accordance with their respective EAP implementation plans, which were approved by the Commission with modification in the "Order Approving Implementation Plans With Modifications" in Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability For Low Income Utility Customers, issued on February 17, 2017. In accordance with these plans, the benefit levels for each tier in the EAP are updated annually and published in the Companies' tariff statements.

The JP sets forth the agreed upon annual rate allowances for the KEDNY and KEDLI EAPs of $38.45 million and $6.75 million, respectively. In accordance with the Commission's "Order Adopting Low Income Program Modifications and Directing Utility Filings," issued and effective May 20, 2016, in Case 14-M-0565 ("Low Income Order"), the parties agreed that the Companies would continue to adjust the energy burden target and benefit levels for each calendar year, to align the annual rate allowance to the two percent budget cap, if necessary. The rate allowances for the Companies' EAPs are subject to reconciliation, as set forth in Section IV.8.1.2 of the JP. Continuing the EAP program and existing structure and mechanism for adjusting discounts and budgets will build upon existing successes and is beneficial to the Companies' most vulnerable customers.

The Companies proposed to eliminate duplicative tiers in the existing EAP structure, consolidating into a four-tier structure, by eliminating Tier 5 for KEDLI and Tiers 5 and 6 for KEDNY. None of the parties objected to Companies' proposal to eliminate duplicate tiers, which is expected to simplify and thus improve implementation of the program.

The JP acknowledges the Commission's ongoing proceedings involving EAP and COVID-19 (*e.g.*, Case 20-M-0266). To the extent the Commission adopts modifications to the EAP in Case 14-M-0565 or Case 20-M-0266, the parties to the JP agree the Commission's determination in such proceeding(s) will control and the Companies will incorporate any such changes to their respective EAP discount calculations and budgets. This approach will improve coordination with Cases 14-M-0565 and 20-M-0266, and therefore, should be adopted.

11.2.2 Energy Affordability Engagement Initiative

The Companies proposed to add one-half an FTE in a Senior Analyst role to support implementation of the EAP for KEDNY and KEDLI. Tr. 1154. PULP proposed to increase the resources by an additional one-half FTE to support KEDLI's EAP, so a total of one FTE would be added. Tr. 1645. The Companies supported PULP's proposal, so long as the resource could be shared across both KEDLI and KEDNY. Tr. 1215. The JP includes adding a total of one FTE resource to support both KEDNY and KEDLI in the continued implementation of the EAP, which is a reasonable compromise among the differing positions as to how the additional resource would be used, and thus, should be adopted.

11.2.3 File Match

The New York City Low Income Panel recommended increasing the file match with New York City Human Resources Administration (HRA) from twice a year to four times a year, along with recommending an increase in the reimbursement to New York City. Tr. 5373-5374. The Companies originally opposed increasing file matching and reimbursement beyond existing levels. Tr. 1202. The JP sets forth the agreement of the parties, that the Company would increase the frequency of its file match process with New York City HRA from twice per year to four times per year but would retain the current reimbursement limit of $100,000 per year. The JP also clarifies the allocation of costs between KEDNY and KEDLI for file matching reimbursement. As set forth in the JP, during each Rate Year and each year during any Stayout Period, KEDNY and KEDLI will each reimburse New York City up to $50,000 for New York City's mailing and associated costs for performing the file matches, and this cost reimbursement will be incorporated into the EAP deferral mechanism. Increasing file matching while retaining existing limits on

reimbursement would increase the frequency of customers being enrolled in the EAP by file matching, while containing the Companies' costs for reimbursement, which reflects a reasonable compromise of the competing positions of the parties. Moreover, this provision of the JP represents yet another example of the Signatory Parties' efforts to address concerns raised by parties that may oppose the settlement.

11.2.4 KEDLI File Match with Nassau and Suffolk Counties

The parties acknowledge that there is only limited file matching occurring with Nassau and Suffolk Counties. KEDLI agreed to schedule a collaborative meeting with the Office of Temporary Disability Assistance ("OTDA") and Nassau and Suffolk Counties to investigate an expanded file-matching mechanism for its EAP customers. The JP sets forth the agreement of the parties that KEDLI will organize the collaborative and, if a file match with Nassau and Suffolk Counties is adopted, provide for up to $25,000 in reimbursement, which would be incorporated into the EAP deferral mechanism. Expanded file matching with Nassau and Suffolk Counties would benefit customers by expanding the reach of EAP enrollment within KEDLI's service territory.

11.3 Reconnection Fees For EAP Customers

KEDLI does not currently charge EAP customers reconnect fees. KEDNY provides low income customers with a one-time waiver of the reconnection fee. New York City proposed that KEDNY eliminate reconnection fees altogether for all low income customers. Tr. 5369. KEDNY did not support New York City's proposal. Tr. 1201. The JP provides that KEDNY will exempt all EAP customers from paying reconnect fees, and that KEDNY would be permitted to defer for future recovery all reconnect fees for EAP customers waived during the terms of the rate plans. This approach reflects a reasonable

compromise among the differing positions, providing additional benefits to eligible KEDNY customers and improving ease of administration by using existing enrollment criteria (*i.e.*, enrollment in EAP) to identify KEDNY customers that would be exempt from the reconnect fee.

11.4 Outreach and Education Plan

Staff proposed that the Companies file their annual Outreach and Education Plans electronically with the Secretary to the Commission by April 1 of each year in the docket for Case 17-M-0475, In the Matter of Utility Outreach and Education Plans. Tr. 1496. The Companies originally proposed to extend the time to file the annual Outreach and Education Plan until at least 60 days following April 1 of each year to provide time for closing of the Companies' fiscal year before reporting on outreach and education budgets and expenditures. Tr. 1220. The JP provides that the Companies would be required to make such filings with the Secretary by April 1 of each year, which promotes consistency with other utilities in New York that submit Outreach and Education Plans by April 1 of each year.

11.5 Increased Participation in Energy Efficiency Programs

The Companies will modify their energy efficiency programs to the extent necessary to offer them to non-firm customers and Baseload Distributed Generation ("DG") customers. The Companies will modify the manner in which they assess energy efficiency costs to assess costs to Baseload DG customers. These provisions are consistent with Commission policies that favor increased cost-effective energy efficiency.

11.6 Arrears Resolution

In this provision of the JP, the parties acknowledge that growing arrears associated with the COVID-19 pandemic could be an issue for customers and the Companies. The JP provides that, if the Commission does not address residential and small business arrears arising from the COVID-19 pandemic by September 15, 2021, in either the generic COVID-19 proceeding or another generic proceeding, then the Companies will commence a collaborative to discuss arrears resolution-related issues to begin no later than October 1, 2021. The JP provides that the Companies shall not be obligated to undertake an arrears resolution program without obtaining approvals that they determine to be necessary. The JP also acknowledges that, if the Commission makes a determination concerning an arrears resolution on a generic basis, such determination will control and eliminate the requirement for the collaboration. This approach would increase coordination on COVID-19-related proceedings and for any arrears forgiveness programs that might ultimately be adopted, and, thus, should be adopted.

11.7 Language Access

The JP reflects the parties' consensus that it would be beneficial to have the Companies work with Staff and other interested parties to assess the Companies' program to communicate with customers and other parties in different languages. The JP includes an obligation for the Companies to file a report with the Secretary to the Commission in these proceedings concerning their efforts and programs to promote enhanced language access. Enhanced language access is beneficial because it promotes improved communications with customers and enhanced customer service.

11.8 Enhanced Training for Consumer Advocates

The JP sets forth the agreement among the parties for the Companies to develop new training for Consumer Advocates to implement a checklist of steps targeted at assisting certain customers potentially impacted by COVID-19. An example of the Customer Advocate checklist is provided in the JP as Appendix 12. Similar programs to enhance outreach and support for vulnerable customers have been approved in prior rate case settlements approved by the Commission.[220] This provision will enhance customer service and is therefore in the public interest.

12. Filing for New Rates

12.1 During the Term of the Rate Plans

Subject to limited exceptions, the Companies generally agree not to file for new base delivery rates to be effective prior to April 1, 2023. The limited exceptions are consistent with other multi-year rate plans approved by the Commission.[221] These terms should be adopted in this case.

12.2 Following the Term of the Rate Plans

As discussed *supra*, the JP proposes comprehensive three-year rate plans for the Companies as well as certain provisions that will apply during a Stayout Period in the event that the Companies do not file new rates to be effective April 1, 2023. These provisions, which would remain in effect until the earlier of the effective date of new rates or March 31, 2024, include:

[220] *See, e.g.*, 2018 Niagara Mohawk Rate Order at 22; 2020 Con Edison Rate Order at 81.
[221] *See* 2016 KEDNY/KEDLI Rate Order, Joint Proposal dated September 7, 2016, at 127-129; 2018 Niagara Mohawk Rate Order, Joint Proposal dated January 19, 2018 at 116-118.

(i) two-way Net Utility Plant and Depreciation Reconciliation and Surcharge Mechanisms capped at the Companies' current forecast of capital expenditures through March 31, 2024. Under these mechanisms, the Companies will be permitted to establish surcharges to be included in the DRA to recover the pre-tax revenue requirements associated with their capital investments to the extent they exceed the level of net utility plant and book depreciation expense reflected in rates[222] and

(ii) surcharges to recover any Commission-approved energy efficiency costs not otherwise recovered in rates and needed to achieve energy efficiency targets in the twelve months ending March 31, 2024.[223]

The Companies will not be permitted to recover incremental revenues through those surcharge mechanisms (or defer such revenues) to the extent they cause the affected Company to earn an ROE in excess of 8.8 percent.[224]

From the Companies' perspective, the opportunity to surcharge customers for certain limited costs during the Stayout Period will assist in, but not guarantee, the Companies' efforts to delay future rate increase filings. Obviously, the surcharge provisions provide the Companies with limited opportunities to recover incremental costs, but they provide no rate relief that will compensate for the ongoing impact of inflation on the Companies' operation and maintenance expenses. Thus, the Companies will face a considerable challenge in attempting to avoid filing to increase rates to be effective April 1, 2023. Nonetheless, given the lengthy period of time that it has taken the parties to negotiate and submit a JP in these proceedings, it is clearly in the public interest for the

[222] JP Section IV.12.2.
[223] *Id.*
[224] *Id.*

Commission to afford the Companies the opportunity to delay their future rate filings during the Stayout Period by affording the Companies the opportunity to recover incremental capital and energy efficiency costs that do not cause the Companies to exceed their authorized ROEs.

13. Miscellaneous Provisions

13.1 Corporate Structure and Affiliate Rules

Consistent with the Companies' previous Commission-approved joint proposals, the corporate structure and affiliate rules that apply to the Companies are set forth in Appendix 11.

13.2 Paving Deferral Balances

In the JP adopted by the Commission in Cases 16-G-0058 and 16-G-0059, KEDNY was authorized to defer paving costs. As of March 31, 2020, KEDNY had a deferral balance of $67.9 million of such costs. KEDNY will write off $3.4 million, or five percent of this balance, plus associated carrying charges. After this adjustment, KEDNY's deferral balance will be $64.5 million as of March 31, 2020, plus carrying charges, and will continue to accrue carrying charges until addressed in a future rate proceeding. This balance will remain subject to audit but will not be subject to any further challenges that the $64.5 million paving costs were not incremental to paving costs reflected in KEDNY's rates. Moreover, the scope of any future audit of KEDNY's paving deferral balance as established per Cases 16-G-0058 and 16-G-0059 will be limited to identifying whether there are discrete invoices that do not reflect paving costs. To the extent that such invoices are identified, such identification shall not result in any extrapolation that costs beyond those reflected on the discrete invoices should not be reflected in this deferral balance.

Moreover, to the extent that unrepresented costs are identified that should be removed from the deferral balance, the deferral balance shall be reduced by 95 percent of such costs to reflect the five percent adjustment that has already occurred. This provision of the JP represents a reasonable resolution of issues raised by the Companies' establishment of the paving deferral.

IV. The Testimony and Exhibits Related To The Recent Management Audit Support A Finding Of Compliance With PSL Section 66(19)

The Companies and Staff submitted testimony from witnesses Philip A. DeCicco and John Holst, respectively, describing KEDNY and KEDLI's compliance with recommendations in three past Commission-initiated audits,[225] as well as the current Comprehensive Management and Operations Audit of National Grid's New York Electric and Gas Utilities in Case 18-M-0195 (the "2018 Management Audit"). As stated in those testimonies, the Commission confirmed the Companies successfully implemented all recommendations from the Past Audits and, as a result, those audits are officially closed. Tr. 4812-14, Tr. 5285-87.

With respect to the 2018 Management Audit, on November 19, 2020, the Commission approved the final audit report, which was prepared by Staff, and directed National Grid to file a plan to implement the 24 recommendations contained in the report.[226] National Grid filed its implementation plan on December 21, 2020, and the plan

[225] The Comprehensive Management and Operations Audit of National Grid USA's New York Gas Companies in Case 13-G-0009 ("Gas Management Audit"); the Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data in Case 13-M-0314 ("Data Audit"); and the Focused Operations Audit of Major Utility Internal Staffing Levels and Use of Contractors for Selected Core Utility Functions at Major New York Energy Utilities in Case 13-M-0449 ("Staffing Audit") (collectively, the "Past Audits").
[226] Case 18-M-0195, "Order Releasing Audit Report" (issued and effective November 19, 2020).

was subsequently approved by the Commission on May 13, 2021.[227] In the Implementation Plan Order, the Commission directed National Grid to file quarterly updates, with the first report due on October 31, 2021, as well as file, within the timeframes specified in the plan, the deliverables demonstrating implementation of the recommendations. The JP does not specifically address the 2018 Management Audit because there was no dispute between the parties and implementation is already addressed in the Implementation Plan Order.

[227] Case 18-M-0195, "Order Approving Implementation Plan" (issued and effective May 13, 2021) ("Implementation Plan Order").

Conclusion

For all the foregoing reasons, The Brooklyn Union Gas Company and KeySpan Gas East Corporation respectfully requests that the Commission adopt the terms of the JP in full and without modification.

Respectfully submitted,

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